



CHAPTER I

INTRODUCTION & BACKGROUND OF THE STUDY

A pancake is a flat cake, often thin, and round, prepared from a starch-based batter and cooked on a hot surface such as a griddle or frying pan. In Britain, pancakes are often unleavened, and resemble a crêpe. In North America, a raising agent is used (typically baking powder). The North American pancake is similar to a Scotch pancake or drop scone

They may be served at any time with a variety of toppings or fillings including jam, fruit, syrup, chocolate chips, or meat. In America, they are typically considered to be a breakfast food. In Britain and the Commonwealth, they are associated with Shrove Tuesday, commonly known as Pancake Day, when perishable ingredients had to be used up before the fasting period of Lent began.

In the Philippines, Banana cream crepes are a popular breakfast and dessert made of very thin pancakes originating from France. It's a common street food that can be found all over the Philippines.

Eating is considered as one of the most important part of our everyday living, without it we can't expect the life to exist. The food we eat serves as the single source of energy and nutrition and through its consumption we can get a glimpse of one's lifestyle.

According to the book of Marketing/Management by Mullins et al. *“Customer buy benefits not product. When people buy products to satisfy their needs, they are really buying the benefits they believe the product will provide. Rather than the products per se. For instance, you buy headache relief not aspirin.”*

Nowadays, people especially high school and college students are eating junk foods and other unhealthy food because of their busyness. For this reason, the proponents decided to put up a food business that will give students healthy food and with less time preparation.

I. NAME OF THE COMPANY

All of the proponents' share their ideal business that they want to put up, and the most common thing that we wanted to do is that we wanted food to be the main focus of our business.

We came up with this idea to promote healthy foods without sacrificing its flavors. We focus on easy to prepare on-the-go food which will be sold in a stall. Initially our stall will be located at Victory Park mall in Antipolo City where college students from Our Lady of Fatima University, La Salle College Antipolo and World Citi Colleges and other nearby schools.

Since most of the proponents are college students, all of us experience going to school with an empty stomach because of cramming preparing for school without having the opportunity to eat breakfast or even lunch.

Our main purpose is to promote healthy lifestyle for high school and college students who need nutrients and energy for them to be energized throughout the day.

Our business will cater to:

Students and health-conscious people alike, the Pancake Corner aim to introduce to the common Filipino palate, an American staple with the convenience of not having to do-it-yourself at home. What sets Pancake Corner apart from other commercial pancake stores, aside from its healthy

variety of pancake batter mixes is its affordable price, which will benefit students with tight food budget.

II. Company Vision and Mission

VISION

To be the top leading Pancake business offering the finest selections of healthy pancake in the Philippines and eventually the whole world.

MISSION

Pancake corner is devoted to promote a healthy lifestyle to every single Filipino by serving them our unique batter mixtures of budget friendly and healthy pancakes.

III. COMPANY LOGO

Figure A



- The company logo consists of a Malunggay character that represents our specialty product which is the Malunggay pancake.
- We choose the color Green to be the motif of our logo because green symbolizes Health, Freshness and Profitability.
- The syrup that flows represents the overflowing benefits and good quality product that we can offer.

COMPANY TAGLINE

“Affordable and Healthy Vegetable Pancakes!”

Our company tagline is very straightforward, we emphasizes the affordability and health benefits of PANCAKE CORNER.

IV. LOCATION

The exact location of our business stall is **Lower G/F B08 Victory Park & Shop, Oliveros Corner M.L. Quezon Street, Barangay San Isidro, Antipolo City, Philippines.** Location is one of the most important aspects of a business and choosing a strategic location adds to the success of any business. In this case, the proponents came up with their own standards in choosing the exact location for their business as follows:

- A. Convenience** – The place is convenient for the customers since it is easy to locate. It is also convenient for the business because it is surrounded by wet and dry market for supply needs
- B. Cost** – Since the business is just new, the proponents decide to find low rental cost which is more advisable and economical.
- C. Customer traffic** – the place is a high traffic area since it is surrounded by many school establishments and universities, the well-known Antipolo Cathedral. Municipal hall and the like.
- D. Safety** – The place is landslide and flood free area and the Victory Mall which it's located has a good security.

LOCATION MAP

Lower G/F B08 Victory Park & Shop, Oliveros Corner M.L. Quezon Street,
Barangay San Isidro, Antipolo City, Philippines.

Figure B



V. LONG TERM OBJECTIVES

- ❖ To sustain the business position in the food industry and in the mind of our customers.
- ❖ To be the No. 1 pancake business, offering a variety of healthy pancakes in the Philippines.
- ❖ To offer franchise within the next five (5) years.
- ❖ To expand our business locally and internationally within five (5) years

VI. TYPE OF BUSINESS ORGANIZATION

PARTNERSHIP– A partnership is the relationship existing between two or more person who joins to carry on a trade or business. Each person contributes money property, labor or skill and expects to share in the profits and losses of the business.

Some possible pros:

- ❖ Shared cost of start-up.
- ❖ Shared responsibilities and work.
- ❖ Shared business risks and expenses.
- ❖ Mutual support and motivation.

Some possible cons:

- ❖ Partners in a general partnership are jointly and individually liable for the business activities of the other. If your partner skips town, you'll be liable for all the debts, not just half of them.

- ❖ Shared profits.
- ❖ You do not have total control over the business. Decisions are shared, and differences of opinion can lead to disagreements, a “falling out,” or even one partner buying out the other.

VII. MODE OF FINANCING

The general partners named Mr. Mark Vincent Teodocio, Ms. Mary Catherine Andrade, Ms. Jamaica Dela Cruz, Ms. Marie Chelka San Jose and Ms. Shaira Cervantes had decided to contribute Seventy Thousand Pesos each (P70,000) as starting capital.

NAME	NATIONALITY	ADDRESS	% SHARE OF OWNERSHIP	AMOUNT
Catherine Andrade	Filipino	Antipolo	20%	P50,000
Shaira Cervantes	Filipino	Antipolo	20%	P50,000
Jamaica Dela Cruz	Filipino	Teresa	20%	P50,000
Chelka San Jose	Filipino	Teresa	20%	P50,000
Mark Teodocio	Filipino	Binangonan	20%	P50,000
TOTAL			100%	P250,000

VIII. PRE-OPERATING COST

Schedule # 1

Pre operating Expense	
Legal Expenses	Amount (Php)
BIR Registration and other fees	P530.00
SEC registration fee	P1,075.00
DTI application fee	P515.00
Mayor's Permit	P520.00
Garbage Charges	P80.00
Sanitary Permit Fee	P30.00
Fire inspection fee	P80.00
Business Plate	P200.00
TOTAL	P3,030.00

IX. START-UP COST

Schedule # 2

	AMOUNT (Php)
Start-up Expenses	
Pre-operating expense	P 3,030
Production and office supplies	P 2,560
Cost of Inventory	P 29,064
Store Supplies	P 27,000
Salary Expense (One Month)	P 20,820
Rent and Utilities Expense (One month)	P 22,000
Advertising Expenses	P 6,500
TOTAL EXPENSES:	P 110,974
Start-Up Asset	
Store equipment and machineries	P 34,591
Business Stall Cost	P 30,000
TOTAL ASSETS:	P 64,591
TOTAL REQUIREMENTS:	P 175,565
Partners Contribution	P 250,000
Less; Total Requirements:	P 175,565
Cash On Hand:	P 74,435

X. DEFINITION OF TERMS

Pancake – A flat cake made of thin batter and cooked on both sides.

Corner – The point where emerging lines, edges or lines meet.

Affordable – being within the financial means of most people.

Healthy – Enjoying health and vigor of body.

Grab n' go - To get something quickly

Food stall – Food stall means a vehicle, vessel, aircraft, or structure in, at, or on which food is offered for sale or from which food is sold.



CHAPTER II

MARKET STUDY

I. PRODUCT DESCRIPTION

A. MAIN PRODUCTS



MALUNGgay PANCAKE

Classic pancake batter mixed with malunggay leaves and served with butter and pancake syrup.



POTATO PANCAKE

Classic pancake batter mixed with potato bits and served with butter and pancake syrup.

**CARROT PANCAKE**

Classic pancake batter mixed with carrot bits served with batter and pancake syrup.

**OATS PANCAKE**

Classic pancake batter mixed with oats and served with butter and pancake syrup.

**SQUASH PANCAKE**

Classic pancake batter mixed with squash bits and served with butter and pancake syrup.

**CLASSIC PANCAKE**

Pancake batter served with butter and pancake syrup.

B. REFRESHMENTS**ICED TEA****MINERAL WATER****HOT CHOCOLATE****COFFEE**

II. MARKET DESCRIPTION

A market is consist of individuals who are interested and willing to buy a particular product to obtain benefit that will satisfy a specific need or want, and who have the resources (Time and Money). Every industry is different, and within an industry, there are also different markets. It is important to properly identify your market. Who will be your prospected customers? How much is your share in the market? A business should develop strategies in order to develop its profitability. Thus, in order to develop such strategies. A careful study in the market aspect must be conducted.

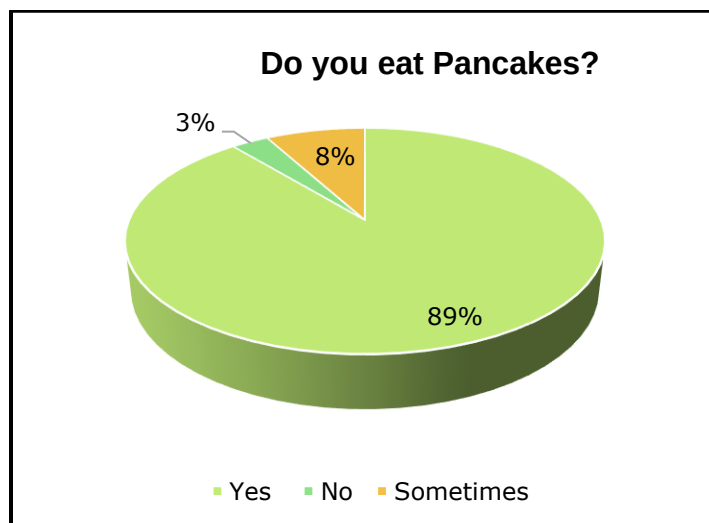
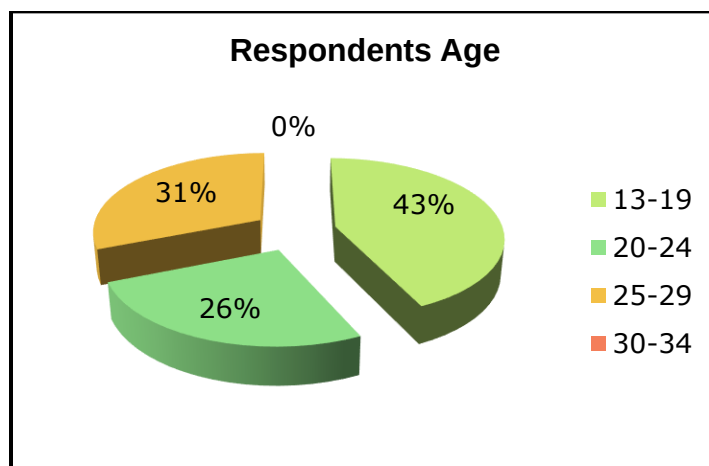
A. TARGET MARKET

Table 1

Age	13-30
Income	C
Categories	Family. Workers, High school and College students.

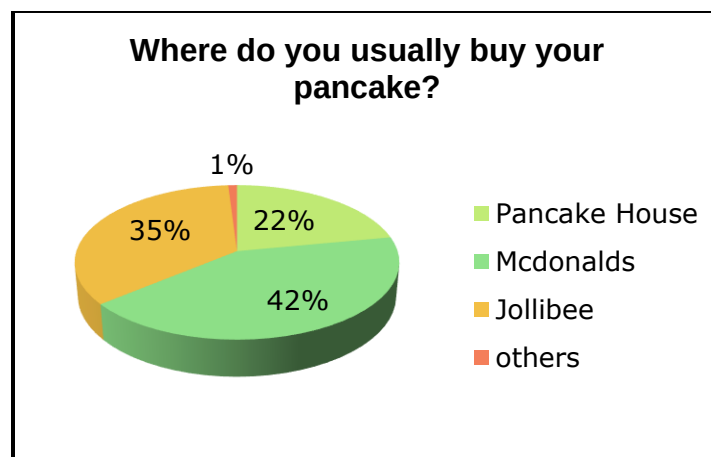
B. DEMAND

High demands for Pancakes usually comes from High School and College students. This fact revealed from the survey, where as 43% of the respondents are aged 13-19. This result also supported by the gathered data that 89% of them eats pancake.



C. SUPPLY

McDonald's, according to the survey got the highest percentage as the choice of the market to buy their pancakes. It has 42% respectively. Followed by Jollibee and Pancake Corner who got a 35% and 22%. All of the said competitors are around the surrounding area of the business location

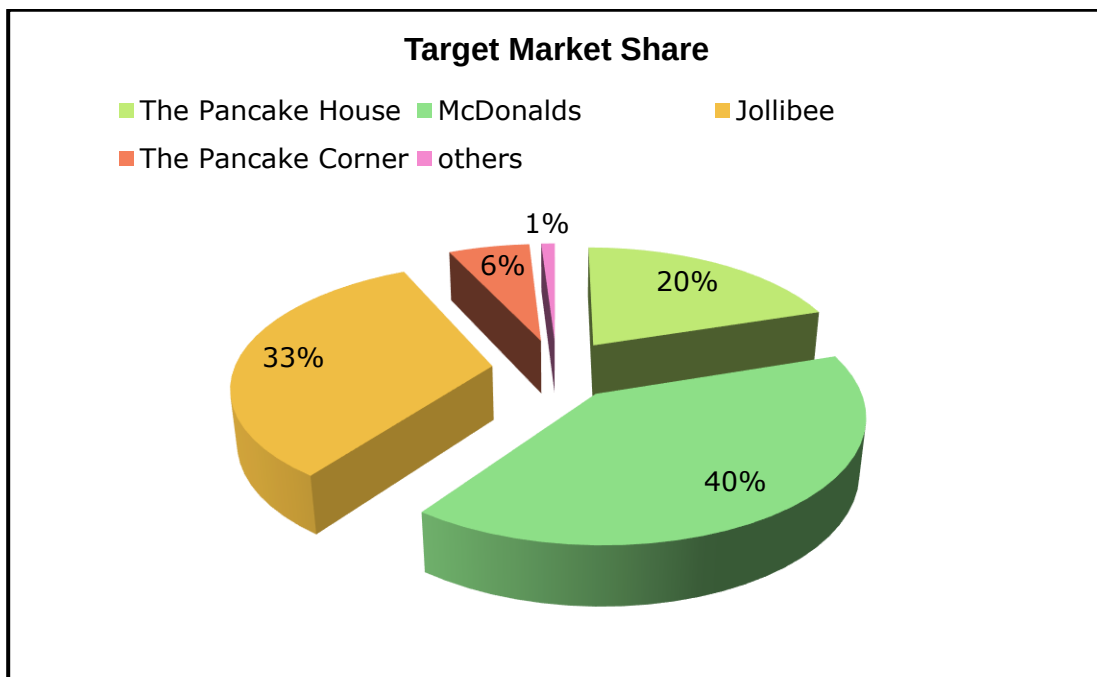


D. Target Market share

We only have three (3) major competitors namely McDonald's, The Pancake House and Jollibee. These competitors offer different kinds of pancake. The Pancake House have established name in the food industry. Though their prices are high still it got a market share of 22%. Whereas McDonald's also known for their affordable pancakes. The survey revealed that it has a market share of 42% and Jollibee with a market share of 35%

In order to get the target market share of Pancake Corner, the proponents anticipated that 6% of the market will switch to a product that is much lower when it comes to price. According to the survey, 58% of the respondents usually spend 30-50Php per serving of pancake.

It will have a target market share of 2% from The Pancake House. Highest target market share of 2% are coming from McDonalds and 2% from Jollibee.



III. PRICE STUDY

A. Pancake Corner Pricelist



Table 2

PRODUCTS	PRICE (Php)
MAIN PRODUCTS	
Malunggay Pancake	P 29.00
Carrot Pancake	P 31.00
Potato Pancake	P 31.00
Squash Pancake	P 30.00
Oats Pancake	P 31.00
Classic Pancake	P 29.00
REFRESHMENTS	PRICE
Iced Tea	P 11.00
Coffee	P17.00
Hot Chocolate	P 14.00
Mineral Water	P 13.00

Table 3

B. Comparative Table

Pancake Corner		Pancake House			McDonalds		Jollibee	
PRODUCT	PRICE	PRODUCTS	PRICE		PRODUCT	PRICE	PRODUCT	PRICE
Malunggay Pancake	P 29.00		2 pcs.	3 pcs.	2pcs. Pancake meal	P 50.00	2 pcs. Pancake	P 55.00
Carrot Pancake	P 31.00	Classic pancake	P 140	P 169	2pcs.Pancake & sausage meal	P 75.00	Pancake Sandwich	P 50.00
Potato Pancake	P 31.00	Panwich	P 158				Pancake Sandwich VM	P 69.00
Squash Pancake	P 30.00	Banana	P 158	P 180				
Oats Pancake	P 31.00	Cheese	P 158	P 180				
Classic Pancake	P 29.00	Corn	P 158	P 180				
		Chocolate Chips	P 169	P 191				
		Chocolate Marble	P 169	P 191				
		Walnut	P 175	P 202				
		Peach	P 175	P 202				

IV. MARKETING PROGRAM

A. SWOT ANALYSIS

STRENGTH	WEAKNESSES
- We are serving healthy and unique mixtures of pancakes like <u>Malunggay</u> pancake, Potato pancake Squash pancake and Carrot pancake and Oats Pancake - Pricing power - Located in a high traffic area	- New in the business market - Competitive market - Limited geographical presence - Without Dine-In and Delivery
OPPORTUNITY	THREATS
- Business expansion - Growing demand in pancakes - Growing Population	- Competitors like Pancake house - Rising price of raw materials - Substitute Products (Waffle) - Climate Change

B. POSITIONING STATEMENT

- ❖ The Pancake Corner will provide quality food and services at low cost.
- ❖ Products are guaranteed served hot and fresh to the customer.
- ❖ Customer satisfaction is our priority. And they are treated with importance.

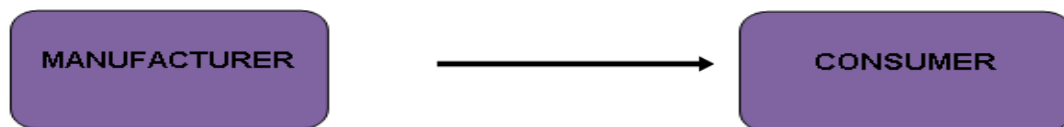
V. MARKETING MIX

Marketing mix is a general phrase used to define the different types of choices organizations to make in the whole procedure of carrying a product or service in the market and benefit our business Pancake Corner, we use the following marketing mix:

- A. PRODUCT-** We prefer to serve a healthy mixture of pancake that fits for everyone's taste. We innovated regular type of pancakes by adding a twist using vegetables.
- B. PEOPLE –** Our success will depend on the perception of our customers in the kind of service that we have. Thus, Pancake Corner staff is required to have good personality, interpersonal skills and a good sense of humor. To attain these we will provide continuous training for our employees.
- C. PRICE –** Our price is affordable so we can assure that the customer will patronize it. Since we are not renting a costly location, we can lower our prices so that the consumers will not shoulder the consequences of the expense.

D. PLACE/DISTRIBUTION – Pancake Corner will be located at the center of activity in Antipolo City. The place is high customer traffic area because it is surrounded by establishments and schools/universities. The place is suitable for its visibility and accessibility for potential customers, shoppers, workers, and students.

The distribution of pancake will be direct to the consumer because Pancake Corner will not use intermediaries as the product will produce per order.



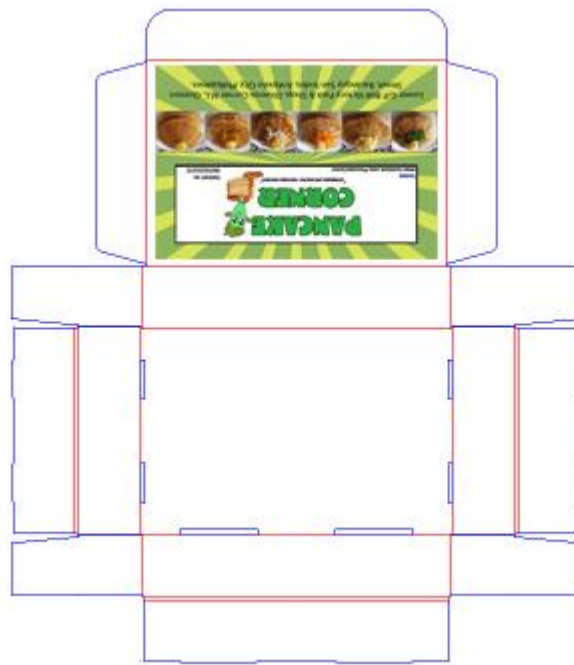
E. PACKAGING –Packaging is defined as the wrapping material around a consumer item that serves to contain, identify, describe, protect, display, promote and otherwise make the product marketable and keep it clean. Packaging is the technology of enclosing or protecting products for distribution, storage, sale, and use. Since Pancake Corner is Grab n' go. The packaging of our products is one of the most important factor that can add to the success of the business. The packaging is made up of Kraft cardboard on the outside and glossy silver coating on the inside.

The packaging and labels can be used by Pancake Corner to encourage potential buyers to purchase our products. What we did is we put random Motivational quotations inside the box so that when the consumer opens the packaging it can be a sort of motivation for him throughout the day.

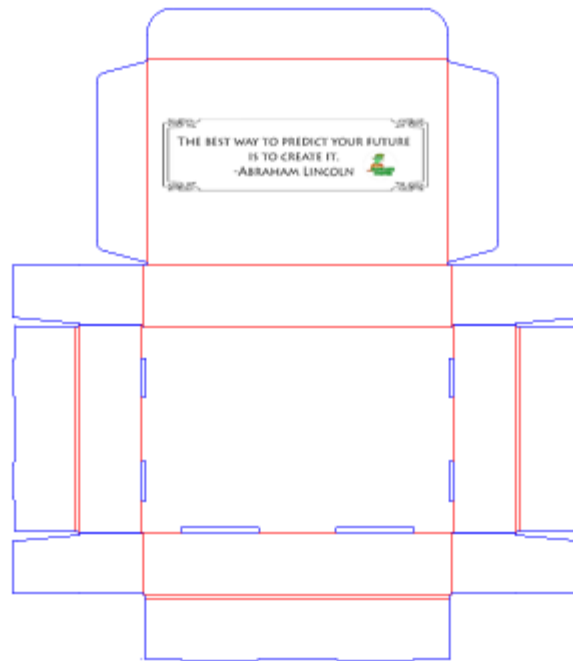
F. Packaging Design

Figure D

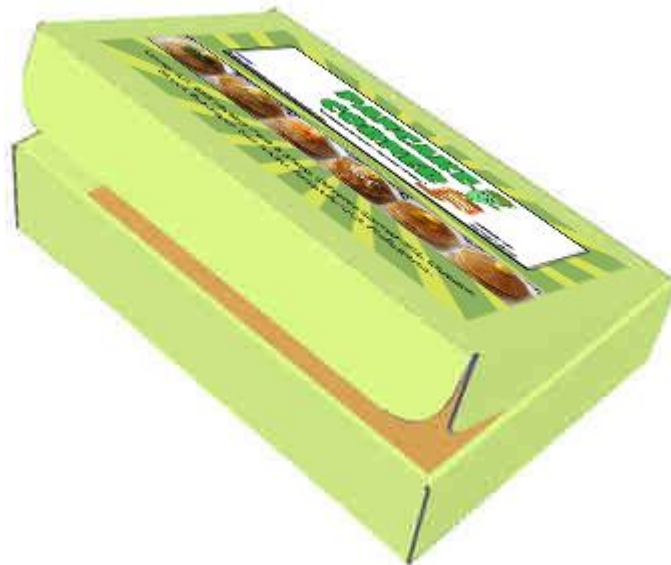
Structure outside the Box



Structure inside the Box



3-Dimensional View Outside



3-Dimensional View Inside



G. PROMOTION – We will employ two different marketing tactics to increase customer awareness of Pancake Corner.

- Our most important tactic will be **word of mouth/in-store marketing**. This will be by far the cheapest and most effective of our marketing programs.
- The second marketing tactic will be the use of **tarpaulins and flyers**. This will be low budget plans that will provide community awareness for the business.

- The business will also provide **free taste** for the prospective customers for them to know what Pancake Corner can produce.
- Also, we will provide a **Facebook page** so that we can use the power of social media and for our customer to interact with us.

Advertising Materials

FIRST TARPAULIN (SOON TO OPEN)

Figure E



SECOND TARPAULIN (GRAND OPENING)

Figure F



FLYERS

Figure G



PANCAKE CORNER
"AFFORDABLE AND HEALTHY VEGETABLE PANCAKES"

**TRY OUR SPECIALTY:
MALUNGgay PANCAKE.**

**FOR ONLY:
P29.00**

AND MANY MORE!!

Lower G/F B08 Victory Park & Shop, Oliveros Corner M.L.
Quezon Street, Barangay San Isidro, Antipolo City, Philippines.

CONTACT US : 09352151272

facebook: www.facebook.com/Pancake_Corner

FACEBOOK PAGE

Figure H



Advertising Expense

Schedule # 3

Advertising Expense			
Particulars	Pieces	Cost per Pc.	Total
Tarpaulin	2 pieces	P 500.00	P 1000
Leaflets	1000 pieces	P 3.00	P 3000
Free Taste	500 pieces	P 5.00	P 2500
Layout expense	-	P 400.00	P 400.00
Total Cost			P 6900



CHAPTER III:

TECHNICAL STUDY

I. The Product

The Pancake Corner will give its customer a variety of budget friendly pancakes with its aim to promote a healthy lifestyle to our customers. We can guarantee that our products are made from fresh ingredients, since our business location is accessible to the market we can easily catch the attention of our target market, Pancake corner is also unique because we sell different selection of pancake which is Classic, Carrots, Potato, Oats, Squash and also our specialty product Malunggay pancake. We chose Malunggay pancake as our specialty because it gives a lot of benefits to our body, we also offer iced tea, water, coffee and hot chocolate. Our pancakes are served together with pancake syrup and butter.

II. Production Process

In the production process, Pancake Corner will cook pancakes per order to avoid excess products and to assure the quality and freshness of the pancakes to be served.

**Pancakes:
Table 4**

Pancake Corner's Malunggay Pancake
Ingredients
Malunggay Leaves
Flour
Baking powder
Sugar
Salt
Oil
Evaporated Milk
Butter
Egg
Total:P 42.00

*Makes 6 pieces (6 pieces ÷ 2 = 3 servings)

Procedure:

1. Mix all the ingredients to make the batter
2. Pour the pancake batter mixed with boiled malunggay leaves in the pancake maker.
3. Wait for it to cook.
4. Serve with pancake syrup and butter.

Pancake Corner's Potato Pancake
Ingredients
Potato
Flour
Baking powder
Sugar
Salt
Oil
Evaporated Milk
Butter
Egg
Total:P 46.00

*Makes 6 pieces (6 pieces ÷ 2 = 3 servings)

Procedure:

1. Mix all the ingredients to make the batter
2. Pour the pancake batter mixed with boiled potato cubes in the pancake maker.
3. Wait for it to cook.
4. Serve with pancake syrup and butter.

Pancake Corner's Carrot Pancake
Ingredients
Carrot
Flour
Baking powder
Sugar
Salt
Oil
Evaporated Milk
Butter
Egg
Total:P 46.00

*Makes 6 pieces (6 pieces ÷ 2 = 3 servings)

Procedure:

1. Mix all the ingredients to make the batter
2. Pour the pancake batter mixed with boiled carrot cubes in the pancake maker.
3. Wait for it to cook.
4. Serve with pancake syrup and butter

Pancake Corner's Oats Pancake
Ingredients
Oats
Flour
Baking powder
Sugar
Salt
Oil
Evaporated Milk
Butter
Egg
Total:P 45.00

*Makes 6 pieces (6 pieces ÷ 2 = 3 servings)

Procedure:

1. Mix all the ingredients to make the batter
2. Pour the pancake batter mixed with oats in the pancake maker.
3. Wait for it to cook.
4. Serve with pancake syrup and butter.

Pancake Corner's Squash Pancake
Ingredients
Squash
Flour
Baking powder
Sugar
Salt
Oil
Evaporated Milk
Butter
Egg
Total:P 44.00

*Makes 6 pieces (6 pieces ÷ 2 = 3 servings)

Procedure:

1. Mix all the ingredients to make the batter
2. Pour the pancake batter mixed with boiled squash cubes in the pancake maker.
3. Wait for it to cook.
4. Serve with pancake syrup and butter.

Pancake Corner's Classic Pancake
Ingredients
Flour
Baking powder
Sugar
Salt
Oil
Evaporated Milk
Butter
Egg
Total:P 41.00

*Makes 6 pieces (6 pieces ÷ 2 = 3 servings)

Procedure:

1. Mix all the ingredients to make the batter
2. Pour the pancake batter mixed with boiled squash cubes in the pancake maker.
3. Wait for it to cook.
4. Serve with pancake syrup and butter.

Table 5

Pancake Corners Pancake Syrup	
Ingredients	
Muscovado Sugar	
Total: P 44.00	

Procedure:

1. Simmer a small amount of liquid
2. Add Muscovado sugar and stir gradually
3. Add Muscovado sugar again and keep on stirring until golden brown

Table 6**Refreshments**

Iced tea		
Quantity	Ingredients	Cost (Php)
1 pack	Nestea Iced Tea	P 150
Total		P 150

*Make 1 full container (20 Servings)

Hot Coffee		
Quantity	Ingredients	Cost (Php)
1 pack	3 in 1 coffee mix	P 120
Total		P 120

*Makes 10 Servings

Hot Chocolate		
Quantity	Ingredients	Cost (Php)
1 pack	Swiss miss Hot chocolate	P 120
Total		P 120

*Makes 12 Servings

Mineral Water		
Quantity	Ingredients	Cost (Php)
1 pack	Summit 500ml	P 300
Total		P 300

*Makes 32 servings

III. Production Cost

Production cost is a cost incurred by a business when manufacturing a good or producing a service. Production costs combine raw material and labor. To figure out the cost of production per unit, the cost of production is divided by the number of units produced. A company that knows how much it will cost to produce an item, or produce a service, will have a clearer picture of how to better price the item or service and what will be the total cost to the company. The desired Mark-up percentage of the Pancake Corner is 40%. The formula for determining a products selling price using the desired mark-up is:

Table 7

Formula for Costing:

Total Cost = Total Fixed Cost + Total Variable Cost			
XXX Pancake			
Variable Cost:	Raw Materials	PHP xxx	PHP xxxxx
	Servings	Xx	
Fixed Cost:	Direct Labor	PHP xxx	PHP xxxxx
	Total production	Xx	
Total Cost			<u>PHP xxxxx</u>
Selling Price = Total Cost + Mark up			
Total cost / item			PHP xxxxx
Plus Mark-up on cost	(40%)		xxx
Price per order			<u>PHP xxxxx</u>

Table 8

Sample costing for pancakes:

Malunggay Pancake			
Variable Cost:	Raw Materials	PHP 42.00	PHP 14.00
	Servings	3	
Fixed Cost:	Labor and Overhead	PHP 249,840.00	PHP 6.94
	Total production	36,000	
Total Cost			<u>PHP 20.94</u>
Selling Price = Total Cost + Mark up			
Total cost / item			PHP 20.94
Plus Mark-up on cost			<u>8.38</u>
Price per order			<u>PHP 29.32</u>

Potato Pancake			
Variable Cost:	Raw Materials	PHP 46.00	PHP 15.33
	Servings	3	
Fixed Cost:	Labor and Overhead	PHP 249,840.00	PHP 6.94
	Total production	36,000	
Total Cost			<u>PHP 22.27</u>
Selling Price = Total Cost + Mark up			
Total cost / item			PHP 22.27
Plus Mark-up on cost			<u>8.91</u>
Price per order			<u>PHP 31.18</u>

Table 9

Sample costing for refreshments:

Iced Tea			
Variable Cost:	Raw Materials	PHP 150.00	PHP 7.50
	Servings	20	
Fixed Cost:	Labor and Overhead	PHP 0.00	PHP 0.00
	Total production	-	
Total Cost			<u>PHP 7.50</u>
Selling Price = Total Cost + Mark up			
Total cost / item			PHP 7.50
Plus Mark-up on cost			3.00
Price per order			<u>PHP 10.50</u>

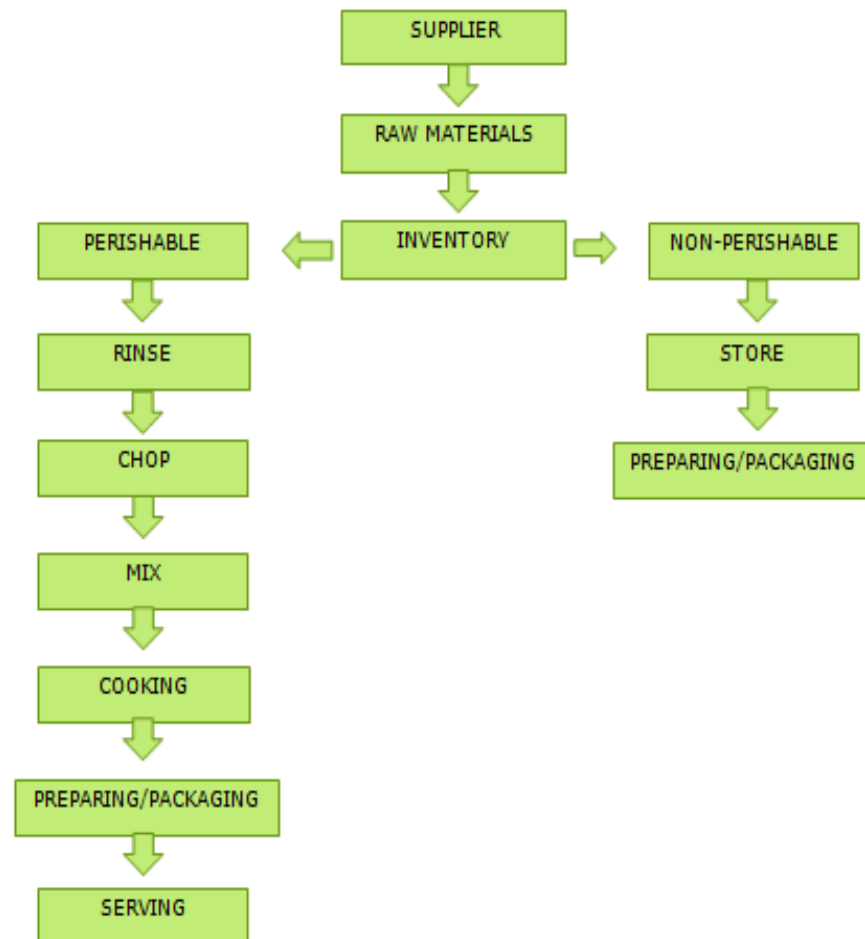
Hot Coffee			
Variable Cost:	Raw Materials	PHP 120.00	PHP 12.00
	Servings	10	
Fixed Cost:	Labor and Overhead	PHP 0.00	PHP 0.00
	Total production	-	
Total Cost			<u>PHP 12.00</u>
Selling Price = Total Cost + Mark up			
Total cost / item			PHP 12.00
Plus Mark-up on cost			4.80
Price per order			<u>PHP 16.80</u>

Table 10

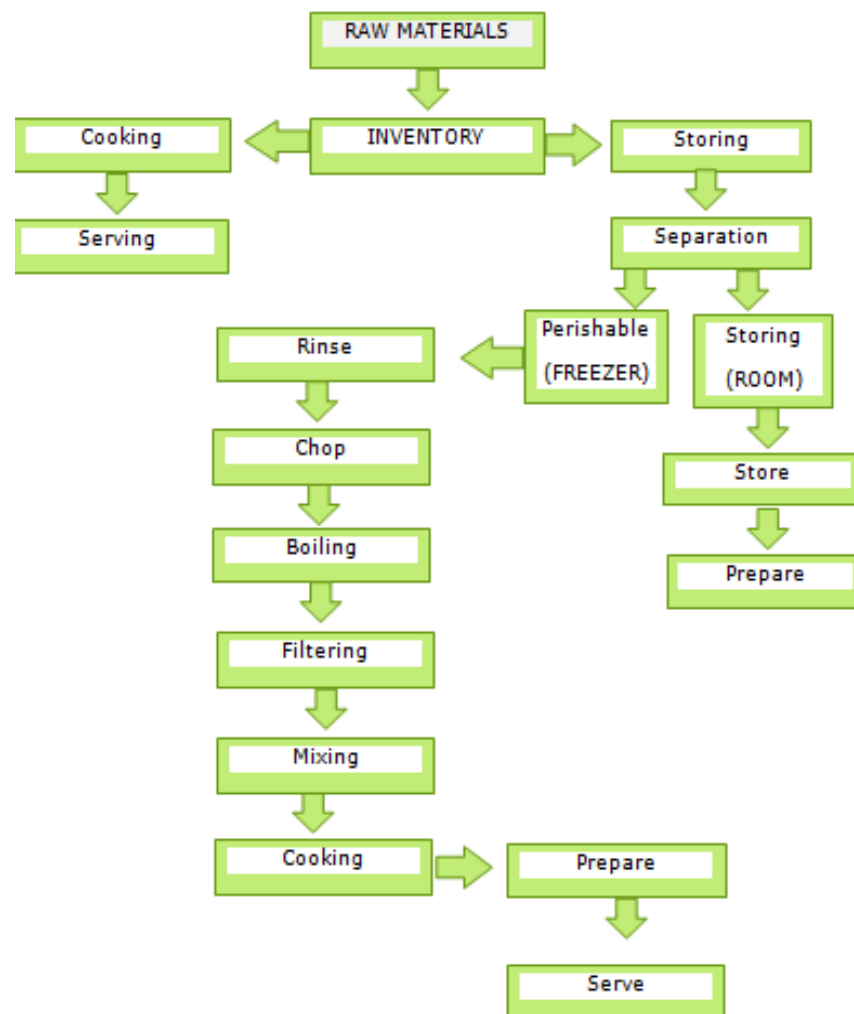
Pricing table

MAIN PRODUCTS	VARIABLE COST	FIXED COST	TOTAL COST	MARK-UP	SELLING PRICE
Malunggay Pancake	14.00	6.94	20.94	40%	29
Potato Pancake	15.33	6.94	22.27	40%	31
Squash Pancake	14.67	6.94	21.61	40%	30
Oats Pancake	15.00	6.94	21.94	40%	31
Carrot Pancake	15.33	6.94	22.27	40%	31
Classic	13.67	6.94	20.61	40%	29
Refreshments					
Iced Tea	8.00	0.00	8.00	40%	11
Hot Coffee	12.00	0.00	12.00	40%	17
Hot Chocolate	10.00	0.00	10.00	40%	14
Mineral Water	9.38	0.00	9.38	40%	13

IV. Flow Chart of Production



V. Flow Chart of Storing



VI. Production schedule

The stall serves as the plant of the business. All the equipment's used in everyday production can be found there. The business will open 9:00 am every day. Because that is the operating hours of the location of the business which is the Victory Park & Shop. Thus, the staff must be in the workplace at 8 am for food preparation. The working schedule of the service crews consist of a Morning shift and a Night shift. Daytime schedules begin around 8 a.m. and go through 5 p.m., including a one-hour lunch. An evening shift runs from 1 p.m. to 9 p.m.

Table 11

	Opening	Closing	Operating hours
Sunday	9:00am	9:00pm	12 hours
Monday	9:00am	9:00pm	12 hours
Tuesday	9:00am	9:00pm	12 hours
Wednesday	9:00am	9:00pm	12 hours
Thursday	9:00am	9:00pm	12 hours
Friday	9:00am	9:00pm	12 hours
Saturday	9:00am	9:00pm	12 hours
Total Operating Hours Per Week			84 hours

VII. Stall Layout

Left Side View

Figure I



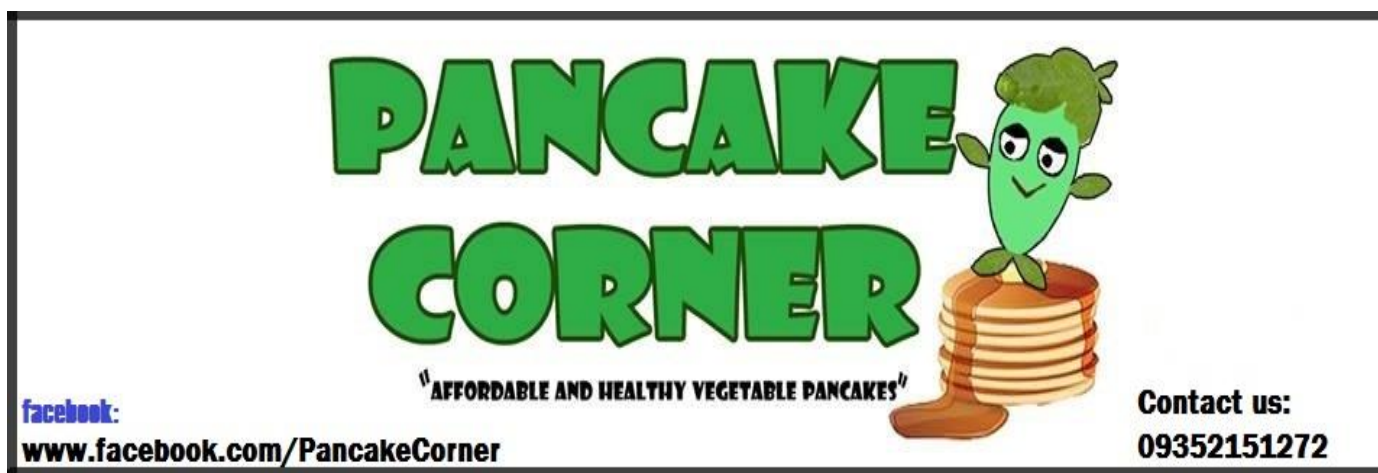
Right Side View

Figure J



Signage

Figure K



Menu for Main Products

Figure L



Menu for Refreshments

Figure M



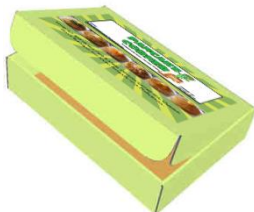
VIII. Store Supplies, Tools & Equipments

STORE EQUIPMENTS AND MACHINERIES					
Name		Description	Price	Qty	Total
Mixing bowl		is a bowl used for mixing of ingredients.	P 139.00	2 pc.	P 278.00
Handheld mixer		A portable or hand mixer is an electric handheld mixing tool that has two removable metal beaters and variable speeds. Used to make batter mixtures.	P 950.00	1 pc	P 950.00
Measuring spoon		A measuring spoon is a spoon used to measure an amount of an ingredient, either liquid or dry, when cooking.	P 89.00	1 pc	P 89.00
Pancake maker		An electrical device used to make pancakes	P 1499.00	2 pc	P 2998.00
Compact refrigerator		A compact refrigerator is a refrigerator that is much smaller than the normal refrigerator. Used to store perishable goods and refreshments	P 4995.00	1 pc	P 4995.00

Induction Cooker		A cooking vessel by electrical induction, instead of by thermal conduction from a high-temperature source, such as a gas or other flame.	P 1998.0 0	1 pc	P 1998.00
Cooking Pot		a container of earthenware, metal, etc., usually round and deep and having a handle or handles and often a lid, used for cooking, serving, and other purposes.	P 500.00	1 pc	P 500.00
Chopping Board		A cutting board is a durable board on which to place material for cutting. The kitchen cutting board is commonly used in preparing food; other types exist for cutting raw materials	P 146.00	2 pc	P 292.00
Knife		an instrument composed of a blade fixed into a handle, used for cutting	P 200	2 pc	P 400
Acrylic container		A container used to hold liquids.	P 1000.0 0	1 pc	P 1000.00

Food warmer		Hold food at safe temperatures for human consumption.	P 2500.0 0	1 pc	P 2500.00
Ladle		Used to transfer the liquid from the acrylic container to the paper cup.	P 159.00	1 pc	P 159.00
Heater		An electrical device that is used to keep the water warm.	P 1115.0 0	1 pc	P 1115.00
Pail		Used for carrying water	P 190.00	1 pc	P 190.00

Trash bin		A container for temporary storing refuse and waste	P 250.00	3 pc	P 750.00
Cash Register		An electronic device used for calculating and recording sales transaction and an attached cash drawer.	P 15,000 .00	1 pc	P 15,000.0 0
Calculator		A device that performs arithmetic operations of numbers.	P 615.00	2 pc	P 1,230.00
Stapler		A mechanical device that joins sheet of paper together.	P 147.00	1 pc	P 147.00
TOTAL:					P 64.591

PRODUCTION AND OFFICE SUPPLIES					
Name		Description	Price	Qty	Total
Table napkin		A square piece of cloth or paper used at a meal to wipe the fingers or lips and to protect garments, or to serve food on.	P 45.00	3 Pks	P 135.00
Pancake box		A Paper Box used to store pancake for takeout.	P 70.00	2 Pks	P 140.00
Paper bag		A bag made out of paper. Used to keep the freshness of the pancake.	P 155.00	1 Pk	P 155.00
Coffee cup		A cup from which coffee is drunk. Can be used for Hot chocolate drink also.	P 73.00	4 Pks	P 292.00

Coffee Stirrer		A tool or device for stirring something.	P 20.00	3 Pks	P 60.00
Disposable gloves		Used as hygiene and contamination protection measure. Designed for disposal after use.	P 67.00	3 Pks	P 201.00
Thermal Paper		Used in cash register to make a copy of customers order or receipt.	P 54.00	3 Rls	P 162.00
Pencil		A writing utensil with a piece of lead or graphite surrounded by wood. Usually with an eraser at one end.	P 25.00	1 Pk	P 25.00
Ball pen		A device used to apply ink to a surface, usually paper for writing or drawing.	P 30.00	1 Pk	P 30.00

Gloves		Used as hygiene and contamination protection measure.	P 77.00	2 Pr	P 154.00
Alcohol		Use to clean, disinfect surface etc.	P 75.00	2 pc	P 150.00
Sponge		A sponge used for cleaning tools and equipment's together with a dishwashing liquid	P 12.00	4 pc	P 48.00
Multi purpose cleaner with sprayer		A multi-purpose glass and surface cleaner.	P 130.00	1 pc	P 130.00

Diswashing liquid		Used for washing tools and equipment's	P 200.00	1 pc	P 200.00
TOTAL:					P 2,560.00

IX. Building and Facilities

A. Rent Expense

The Pancake Corner will rent a space for the stall. The rental amount is 18,000 per month.

Schedule # 4

Year	Daily	Monthly	Annually
2014	600	18,000	216,000
2015	630	18,900	226,800
2016	661.5	19,845	238,140
2017	694.58	20,837	250,044
2018	729.31	21,879	262,548

Notes: We assumed that the rental cost will increase by 5% annually.

B. Stall Cost

The Proponents will consult a stall maker for the making of the business stall to lessen the work. The total cost of the project is amounting to **P30, 000.**

C. Utilities expenses

Utilities are composed of water and electricity expenses. The table below shows the assumptions of the utility expenses that the business might consume.

Electricity Expenses

Schedule # 5

Year	Daily	Monthly	Annually
2015	126.00	3,780	45,360
2016	132.30	3,969	47,628
2017	138.92	4,167.60	50,011.20
2018	145.87	4,376.10	52,513.20
2019	153.2	4,594.91	55,138.86

Notes: We assumed that the rental cost will increase by 5% annually.

Water Expenses

Schedule # 6

Year	Daily	Monthly	Annually
2015	7.35	220.50	2,646
2016	7.72	231.60	2,779.20
2017	8.11	243.30	2,919.60
2018	8.52	255.60	3,067.20
2019	8.95	268.38	3,220.56

Notes: We assumed that the water cost will increase by 5% annually

Total Utilities Expenses

Schedule # 7

	2015	2016	2017	2018	2019
Electricity	45,360	47,628	50,011.20	52,513.20	55,138.86
Water	2,646	2,779.20	2,919.60	3,067.20	3,220.56
Total	48,006	50,407.2	52,930.8	55,580.4	58,359.42

X. Waste disposal

Waste management is the collection, transport, processing, recycling or disposal of waste materials. The term usually relates to materials produced by human activity, and is generally undertaken to reduce their effect on health, the environment or aesthetics. Proper waste disposal is a part of our social responsibility. After the business operation, the employees are obligated to bring out all the waste and put it in the right container outside the store to be collected by the garbage collectors. The pancake corner will be engaged in a waste disposal methods called **Physical Reprocessing**. The popular meaning of 'recycling' in most developed countries refers to the widespread collection and reuse of everyday waste materials such as empty beverage containers. These are collected and sorted into common types so that the raw materials from which the items are made can be reprocessed into new products. Material for recycling may be collected separately from general waste using dedicated bins and collection vehicles, or sorted directly from mixed waste streams.

XI. TIME SCHEDULE

POSITION	TIME	WORKING HOURS
MANAGER	10:00am-07:00pm	8Hrs
SERVICE SCREW 1	08:00am-05:00pm	8Hrs
SERVICE SCREW 2	01:00pm-09:00pm	8Hrs



CHAPTER IV:

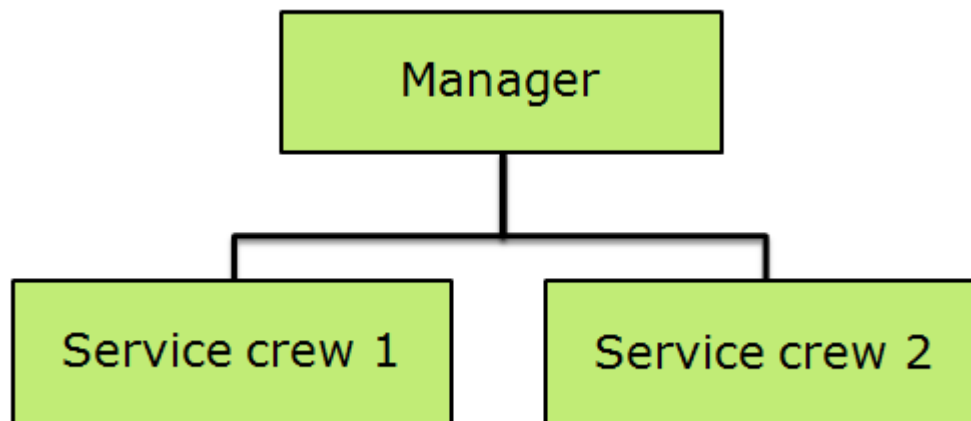
ORGANIZATIONAL AND MANAGEMENT STUDY

A. Labor Requirements

The organizational structure of the business is composed of manager and two (2) service crew. The manager will manage the overall store operation and will also be responsible for auditing. The service crews will do the inventory and responsible for the cleanliness of the food stall

Organizational structure

Figure N



The store managers have the overall authority in the store and two (2) service crews. But since the business is just starting, the owners will act as the store manager to lessen the expense and to personally manage the business.

Personnel Requirements

Table 13

Position	Qualification	Job Description	Qty	Salary
Manager	Proponent/Owner	-Responsible for store operation -Manages the inventory -Handles the monetary transaction	1	450/day
Service crews	-male or female -at least high school diploma - 18 years old above -has knowledge of basic arithmetic -skills in handling and counting cash	-to prepare the pancake by order -Distribute orders -maintaining cleanliness in stall area -perform other duties when required - Clean dishes, kitchen, preparation of equipment, and utensils	2	347/day
Total			3	

Employment requirement

- ❖ Birth Certificate
- ❖ Bio-data or Resume
- ❖ Diploma
- ❖ Phil-health
- ❖ Pag-ibig
- ❖ SSS Number
- ❖ TIN Number
- ❖ NBI / Police Clearance

B. Company Policies and Regulation

1. Hiring

- In hiring process, Applicants must be qualified to meet the set standards required for the job.
- During hiring, Applicants must comply with the needed document.
- Applicants should have a pleasing personality and a good moral character.
- Full time and Part time applicants will be entertained. Even working students are encouraged.

2. Training

- Newly hired applicants are required to attend three (3) day orientation and training

3. Working schedule

- Employees are required to observe regular and punctual attendance.
Absences and tardiness are all counted.
- The service crews will work under opening and closing schedule.
Excess of eight (8) hours working days will be paid as overtime.
Employees who come beyond opening hours will be considered late.
- In case employees foresee that he/she will be absent, he/she must file a leave of absence.
- Employees will be given a one (1) hour break per day.
- Each employee will be given one (1) day in weekdays for their rest day.

4. Rules and Regulations

- Unauthorized usage of company property is strictly prohibited.
- Bringing of unnecessary objects like deadly objects, prohibited drugs and pornographic materials are prohibited.
- “No smoking” and “No drinking of alcohol” are strictly prohibited while working.
- Cleanliness should be observed every time. Avoid littering of any waste to show that the company is environment friendly.
- Always wear proper uniform during work hours. Specially hairnet and caps.

- Always keep the area clean and tidy.

5. Code of conduct

A. Tardiness

1ST Offense: Employee's Report

2nd Offense: Appraisal

3rd Offense: 3 days Suspension

4th Offense: Termination

B. Absence without due cause

1ST Offense: Employee's Report

2nd Offense: Appraisal

3rd Offense: 3 days Suspension

4th Offense: Termination

C. Negligence of duty

1ST Offense: Employee's Report

2nd Offense: Appraisal

3rd Offense: 3 days Suspension

4th Offense: Termination

D. Immoral conduct

1ST Offense: Employee's Report

2nd Offense: Appraisal

3rd Offense: 3 days Suspension

4th Offense: Termination

E. Theft

1ST Offense: Employee's Report

2nd Offense: Appraisal

3rd Offense: 3 days Suspension

4th Offense: Termination

F. Unauthorized usage of company property.

1ST Offense: Employee's Report

2nd Offense: Appraisal

3rd Offense: 3 days Suspension

4th Offense: Termination

C. Compensation and Other benefits:**1. 13th month pay**

According to the Philippine Law, Companies are required to give its employee a 13th pay equivalent to 1 month salary. Pancake Corner will be giving its employee a 13th month pay in accordance to the law.

2. SSS

As mandated by law, both employer and employees are to contribute for the social security benefits of the employee in the accordance with the following: will give the employees contribution to the employee accordance to the SSS contribution required.

3. Phil Health

As mandated by R.A. 7835 on Medicare Program which is administered by the Philippine Health Insurance Corporation (Phil. Health). Both employer and employees are to contribute for the medical insurance benefits of the employees.

4. HDMF

Pancake Corner will share the monthly Pag-IBIG contribution made by each employee which is equal to 100 pesos for every employee.

Schedule # 8
Salaries of Employee

Position	No. of working hours per day	No. of working days	Salary per day	Monthly income	Yearly income
Service Crew	8 hrs.	30	P 347.00	P 10,410	P 124,920
Service Crew	8 hrs.	30	P 347.00	P 10,410	P 124,920
Manager	8 hrs.	30	P450.00	P 13,500	P 162,000
Total	24 hrs.		P 1,144.00	P 34,320	P 411,840

Schedule # 9
13th Month pay

Position	2015	2016	2017	2018	2019
Service Crew	P 10,410	P 10,410	P 10,930	P 11,476	P 12,049.8
Service Crew	P 10,410	P 10,410	P 10,930	P 11,476	P 12,049.8
Manager	P 13,500	P 13,500	P 14,175	P 14,883.75	P 15,627.94
Total	P 34,320	P 34,320	P 36,036	P 37,836.75	P 39,727.54

*Assuming that there will be 5% increase after three (3) years

Schedule # 10

SSS Contribution

Position	Monthly Salary	Employees share	Employers share	Total share	2015
Service Crew	P 10,410	P 381.50	P 773.50	P 1,155	P13,860
Service Crew	P 10,410	P 381.50	P 773.50	P 1,155	P13,860
Manager	P 13,500	P 490.05	P 994.50	P 1,485	P17,820
Total	P 34,320	P 1,253.05	P 2,541.05	P 3,795	P 45,540

Schedule # 11

Phil-Health Contribution

Position	Monthly Salary	Employees share	Employers share	Total Monthly premium	Yearly
Service Crew	P 10,410	P 125	P 125	P 250	P 3,000
Service Crew	P 10,410	P 125	P 125	P 250	P 3,000
Manager	P 13,500	P 162.05	P 162.05	P325	P 3,900
Total	P 34,320	P 412.05	P 412.05	P 825	P 9900

Schedule # 12

HDMF Contribution

Position	Monthly Salary	Employees share	Employers share	Total Monthly Contribution	2015
Service Crew	P 10,410	P 100	P 100	P 200	P 2,400
Service Crew	P 10,410	P 100	P 100	P 200	P 2,400
Manager	P 13,500	P 100	P 100	P 200	P 2,400
Total	P 34,420	P 300	P 300	P 600	P 7,200

Schedule # 13

Withholding tax

Position	Monthly Income	Monthly Contribution	Yearly
Service Crew	P 10,410	P 678.81	P 8,145.72
Service Crew	P 10,410	P 678.81	P 8,145.72
Manager	P 13,500	P 1257.73	P 15,092.76
Total	P 34,320	P 2,615.35	P 31,384.02

5. Uniform of the employees

- Employees represent the company to the customer; therefore they must be well-groomed and well-dressed
- The uniform must be paid or provided by the company

Exhibit P



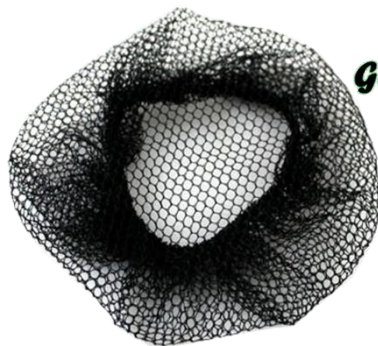
White Polo Shirt



Green Shorts



Green Visor Cap



Hair Net



Plain white shoes

Schedule # 15**Uniform Expenses**

Quantity	Item	Price per unit	Total
2	White Polo shirt	P 170	P 340
2	Green Shorts	P 140	P 280
2	Green Visor Cap	P 130	P 260
2	White shoes	P 200	P 400
2	Pair of white socks	P 60	P 120
2	Hair net	P 20	P 40
Total:			P 1440



CHAPTER V:

FINANCIAL STUDY

Introduction

In order to establish this firm, the proponents have a total investment of P 250, 000.

Each of them contributed P50, 000 each. From this amount of investment, Expenses like the Pre operating expenses, Acquisition of equipment's, Administrative expenses as well as the purchase of inventories will be incurred. These composed of the overall project cost amounting to P189, 465.

The excess on the capital contribution (P 60, 535.) serves as the cash reserve of the business.

A. Summary of Assumptions

The following are the assumptions made by the proponents for the preparation of financial aspects.

1. Sales are assumed to have 5% increases each year.
2. Cost of Purchases increases by 5% each year.
3. Rent expense has a 5% increase on the third year of operation.
4. Salaries expense will increase by 5% on the third year of operation.

5. For utilities expense. There will be a 5% increase in electricity and water every year.
6. In withholding tax, all employees are assumed single.

B. Profit and Loss Distribution

Proponent	Contribution	% of share in Profit/Loss
Mary Catherine Andrade	P 50,000	20%
Shaira Cervantes	P 50,000	20%
Jamaica Dela Cruz	P 50,000	20%
Marie Chelka San Jose	P 50,000	20%
Mark Vincent Teodocio	P 50,000	20%
TOTAL:	P 250,000	100%

PANCAKE CORNER
C. Projected Depreciation Expense
For the Years End 2015-2019

	Cost	Qty.	Total Cost	Useful Life	Yearly Depreciation
Handheld mixer	950.00	1	950.00	3	317
Pancake maker	1,499.00	2	2,998.00	3	999
Induction Cooker	1,998.00	1	1,998.00	3	666
Compact refrigerator	4,995.00	1	4,995.00	3	1,665
Acrylic container	1,000.00	1	1,000.00	3	333
Food warmer	2,500.00	1	2,500.00	3	833
Cash Register	15,000.00	1	15,000.00	3	5,000
Business stall cost	30,000.00	1	30,000.00	3	10,000
TOTAL DEPRECIATION	55,442.00		56,941.00		19,814

D. Compensation & Other Expenses

PANCAKE CORNER 1. Projected Salaries And Wages For the Years End 2015-2019

	Daily Salary	No. of days	No. of Employees	Monthly Salary	Annual Salary	2015	2016	2017	2018	2019
Manager	450	30	1	13,500	162,000	162,000	162,000	170,000	178,605	187,535
Service Crew	347	30	1	10,410	124,920	124,920	124,920	131,166	137,724	144,611
Service Crew	347	30	1	10,410	124,920	124,920	124,920	131,166	137,724	144,611
Total Direct Labor			3	34,320	411,840	411,840	411,840	432,332	454,053	476,757

PANCAKE CORNER 2. Projected SSS Contribution For the Years End 2015-2019

	Monthly Salary	Employees Share	Employers Share	Total Share	Annual Share	2015	2016	2017	2018	2019
Manager	13,500	491	995	1,485	17,820	17,820	17,820	18,711	19,646	20,628
Service Crew	10,410	382	774	1,155	13,860	13,860	13,860	14,553	15,281	16,045
Service Crew	10,410	382	774	1,155	13,860	13,860	13,860	14,553	15,281	16,045
Total	34,320	1,255	2,543	3,798	45,540	45,540	45,540	47,817	50,208	52,718

PANCAKE CORNER
3. Projected Phil-Health Contribution
For the Years End 2015-2019

	Monthly Salary	Employees Share	Employers Share	Total Share	Annual Share	2015	2016	2017	2018	2019
Manager	13,500	162.5	162.5	325	3,900	3,900	3,900	4,095	4,300	4,515
Service Crew	10,410	125	125	250	3,000	3,000	3,000	3,150	3,308	3,473
Service Crew	10,410	125	125	250	3,000	3,000	3,000	3,150	3,308	3,473
Total	34,320	412.5	412.5	825	9,900	9,900	9,900	10,395	10,915	11,461

PANCAKE CORNER
4. Projected HDMF Contribution
For the Years End 2015-2019

	Monthly Salary	Employees Share	Employers Share	Total Share	Annual Share	2015	2016	2017	2018	2019
Manager	13,500	100	100	200	2,400	2,400	2,400	2,520	2,646	2,778
Service Crew	10,410	100	100	200	2,400	2,400	2,400	2,520	2,646	2,778
Service Crew	10,410	100	100	200	2,400	2,400	2,400	2,520	2,646	2,778
Total	34,320	300	300	600	7,200	7,200	7,200	7,560	7,938	8,335

PANCAKE CORNER
5. Projected Rent Expense
For the Years End 2015-2019

Daily	Monthly	Annually	2015	2016	2017	2018	2019
600	18,000	216,000	216,000	216,000	226,800	238,140	250,047
Total	18,000	216,000	216,000	216,000	226,800	238,140	250,047

PANCAKE CORNER
6. Projected Electricity Expense
For the Years End 2015-2019

Daily	Monthly	Annually	2015	2016	2017	2018	2019
126	3,780	45,360	45,360	47,628	50,009	52,510	55,135
Total	3,780	45,360	45,360	47,628	50,009	52,510	55,135

PANCAKE CORNER
7. Projected Water Expense
For the Years End 2015-2019

Daily	Monthly	Annually	2015	2016	2017	2018	2019
7.35	220	2,640.00	2,640.00	2,640.00	2,778.30	2,917.22	3,063.08
Total	220	2,640.00	2,640.00	2,640.00	2,778.30	2,917.22	3,063.08

E. Financial Statements

PANCAKE CORNER 1. Projected Sales For the Years End 2015-2019

Main Products	SP	Units Sold Daily	Monthly	Yearly	Annual Income	2015	2016	2017	2018	2019
Malunggay Pancake	34	15	450	5,400	183,600	183,600	192,780	202,419	212,540	223,167
Potato Pancake	36	15	450	5,400	194,400	194,400	204,120	214,326	225,042	236,294
Squash Pancake	35	15	450	5,400	189,000	189,000	198,450	208,373	218,791	229,731
Oats Pancake	36	15	450	5,400	194,400	194,400	204,120	214,326	225,042	236,294
Carrot Pancake	36	15	450	5,400	194,400	194,400	204,120	214,326	225,042	236,294
Classic Pancake	34	25	750	9,000	306,000	306,000	321,300	337,365	354,233	371,945
TOTAL		100	3,000	36,000	1,261,800	1,261,800	1,324,890	1,391,135	1,460,691	1,533,726
Other Products										
Iced Tea	11	40	1,200	14,400	158,400	158,400	166,320	174,636	183,368	192,536
Hot Coffee	17	20	600	7,200	115,200	115,200	120,960	127,008	133,358	140,026
Hot Chocolate	14	20	600	7,200	100,800	100,800	105,840	111,132	116,689	122,523
Mineral Water	13	20	600	7,200	93,600	93,600	98,280	103,194	108,354	113,771
TOTAL		100	3,000	36,000	468,000	468,000	491,400	515,970	541,769	568,857
TOTAL SALES					1,729,800	1,729,800	1,816,290	1,907,105	2,002,460	2,102,583

PANCAKE CORNER
2. Projected Cost of Inventory
For the Years End 2015-2019

Raw Materials	Quantity	Unit Price	Cost Per Month	Cost Per Year	2015	2016	2017	2018	2019
Malunggay	60 bunches	2.00	120.00	1,440.00	1,440.00	1,512.00	1,587.60	1,666.98	1,750.33
Potato	30kg	60.00	1,800.00	21,600.00	21,600.00	22,680.00	23,814.00	25,004.70	26,254.94
Squash	30kg	25.00	750.00	9,000.00	9,000.00	9,450.00	9,922.50	10,418.63	10,939.56
Oats	500g	7.00	3,500.00	42,000.00	42,000.00	44,100.00	46,305.00	48,620.25	51,051.26
Carrots	30kg	50.00	1,500.00	18,000.00	18,000.00	18,900.00	19,845.00	20,837.25	21,879.11
Flour	1 sack	840.00	840.00	10,080.00	10,080.00	10,584.00	11,113.20	11,668.86	12,252.30
Baking powder	100g	5.39	539.00	6,468.00	6,468.00	6,791.40	7,130.97	7,487.52	7,861.89
White sugar	1/2 sack	350.00	175.00	2,100.00	2,100.00	2,205.00	2,315.25	2,431.01	2,552.56
Salt	360g	1.00	360.00	4,320.00	4,320.00	4,536.00	4,762.80	5,000.94	5,250.99
Muscovado Sugar	15kg	42.00	630.00	7,560.00	7,560.00	7,938.00	8,334.90	8,751.65	9,189.23
Evaporated milk	450 cans	30.00	13,500.00	162,000.00	162,000.00	170,100.00	178,605.00	187,535.25	196,912.01
Butter	360g	5.00	1,800.00	21,600.00	21,600.00	22,680.00	23,814.00	25,004.70	26,254.94
Oil	5L	110.00	550.00	6,600.00	6,600.00	6,930.00	7,276.50	7,640.33	8,022.34
Egg	600 pcs.	5.00	3,000.00	36,000.00	36,000.00	37,800.00	39,690.00	41,674.50	43,758.23
TOTAL:		1,532.39	29,064.00	348,768.00	348,768.00	366,206.40	384,516.72	403,742.56	423,929.68

3. Store Supplies

Raw Materials	Quantity	Unit Price	Cost Per Month	Cost Per Year	2015	2016	2017	2018	2019
Nestea iced tea	30 pack	150.00	4,500.00	54,000.00	54,000.00	56,700.00	59,535.00	62,511.75	65,637.34
3 in 1 coffee mix	90 pack	120.00	10,800.00	129,600.00	129,600.00	136,080.00	142,884.00	150,028.20	150,028.20
Swiss Miss hotchocolate	90 pack	120.00	10,800.00	129,600.00	129,600.00	136,080.00	142,884.00	150,028.20	150,028.20
Summit 500mL	3 box	300.00	900.00	10,800.00	10,800.00	11,340.00	11,907.00	12,502.35	12,502.35
TOTAL		690.00	27,000.00	324,000.00	324,000.00	340,200.00	357,210.00	375,070.50	378,196.09

4. Cost of Goods Manufactured and Sold

	1st year	2nd year	3rd year	4th year	5th year
Raw materials, beginning	29,064	-	-	-	-
Add: Purchases	319,704	364,753	382,991	402,140	422,247
Cost of goods available for use	348,768	364,753	382,991	402,140	422,247
Less: Raw materials, end	-	-	-	-	-
Cost of raw materials used	348,768	364,753	382,991	402,140	422,247
Direct labor	411,840	411,840	411,840	411,840	411,840
Cost of goods manufactured and sold	763,168	779,281	797,653	816,944	837,199

PANCAKE CORNER
5. Projected Income Statement
For the Years End 2015-2019

	1st year	2nd year	3rd year	4th year	5th year
Sales	1,729,800	1,816,290	1,907,105	1,976,661	2,102,583
Less: Cost of goods sold	763,168	779,281	797,653	816,906	837,199
Gross profit	966,632	1,037,009	1,109,451	1,159,755	1,265,384
Less: Operating expenses					
Fixed expenses					
Electricity Expense	45,360	45,360	47,628	50,009	52,509
Water Expense	2,646	2,646	2,778	2,917	3,063
Rent expense – Store	216,000	226,800	238,140	250,047	262,549
Salaries and Wages	411,840	411,840	432,432	432,432	432,432
13th Month Pay	34,320	36,036	37,838	39,730	41,716
Advertising and Promotion	13,800	6,900	6,900	6,900	6,900
Organization Cost	3,030	3,030	3,030	3,030	3,030
Depreciation - Store Furn. & Equip.	19,814	19,814	19,814	19,814	19,814
SSS, Phil-health, HDMF, Withholding tax	62,640	62,640	62,640	62,640	62,640
Total fixed expenses	812,480	815,066	851,200	867,519	884,653
Variable expenses					
Store supplies	27,000	28,350	29,768	31,256	32,819
Total variable expenses	27,000	28,350	29,768	31,256	32,819
Total	839,480	843,416	880,967	898,774	917,472
Net income before tax	127,152	193,593	228,484	260,981	347,912
Less: Income tax 30%	38,146	58,078	68,545	78,294	104,373
Net income after tax	89,007	135,515	159,939	182,687	243,538

Distribution of profits (Losses)					
Mark Vincent Teodocio	17,801	27,103	31,988	36,537	48,708
Mary Catherine Andrade	17,801	27,103	31,988	36,537	48,708
Jamaica Dela Cruz	17,801	27,103	31,988	36,537	48,708
Marie Chelka San Jose	17,801	27,103	31,988	36,537	48,708
Shaira Cervantes	17,801	27,103	31,988	36,537	48,708
Total	89,007	135,515	159,939	182,687	243,538

PANCAKE CORNER
6. Projected Cash Flow
For the Years End 2015-2019

	1st year	2nd year	3rd year	4th year	5th year
CASH INFLOWS:					
Cash sales	1,729,800	1,816,290	1,907,105	2,002,460	2,102,583
Total	1,729,800	1,816,290	1,907,105	2,002,460	2,102,583
LESS: CASH OUTFLOWS					
Purchases of raw materials	319,704	364,753	382,991	402,140	422,247
Payment of direct labor	360,285	360,285	360,285	360,285	360,285
Payment of SSS	60,600	60,600	60,600	60,600	60,600
Payment of Philhealth	14,850	14,850	14,850	14,850	14,850
Payment of HDMF	10,800	10,800	10,800	10,800	10,800
Payment of withholding tax	27,945	27,945	27,945	27,945	27,945
Electricity expense	45,360	45,360	47,628	50,009	52,509
Water Expense	2,646	2,646	2,778	2,917	3,063
Store rental payments	216,000	227,700	239,085	251,039	263,591
Salaries and Wages Paid	411,840	411,840	432,432	432,432	432,432
Advertising and Promotion	6,900	6,900	6,900	6,900	6,900
Store supplies purchased	-	28,350	29,768	31,256	32,819
Increase in income tax payable	-	38,146	58,078	68,545	78,294
Total	1,476,930	1,638,899	1,714,800	1,788,173	1,811,164
NET CASH INFLOW (OUTFLOW)	252,870	177,391	192,305	214,287	291,419
ADD: CASH BEGINNING	69,685	322,555	499,946	692,251	906,538
CASH BALANCE	322,555	499,946	692,251	906,538	1,197,957

PANCAKE CORNER
7. Projected Balance Sheet
For the Years End 2015-2019

	1st year	2nd year	3rd year	4th year	5th year
Asset					
CURRENT					
Cash	322,555	499,946	692,251	906,538	1,197,957
Prepaid Rent – Store	18,000	18,900	19,845	20,837	21,879
Total	340,555	518,846	712,096	927,375	1,219,836
NON-CURRENT					
Store Furniture and Equipment	59,441	59,441	59,441	59,441	59,441
Accumulated Depreciation	(19,814)	(39,627)	(59,441)	(79,255)	(99,068)
Total	36,597	13,754	(9,090)	(31,934)	(54,777)
TOTAL ASSET	377,152	532,600	703,006	895,441	1,165,058
Liabilities					
Income Tax Payable	38,146	58,078	68,545	78,294	104,373
TOTAL LIABILITIES	38,146	58,078	68,545	78,294	104,373
Partner's Equity					
Mark Vincent Teodocio	67,801	94,904	126,892	163,429	212,137
Mary Catherine Andrade	67,801	94,904	126,892	163,429	212,137
Jamaica Dela Cruz	67,801	94,904	126,892	163,429	212,137
Marie Chelka San Jose	67,801	94,904	126,892	163,429	212,137
Shaira Cervantes	67,801	94,904	126,892	163,429	212,137
Total	339,007	474,522	634,461	817,147	1,060,685
TOTAL LIABILITIES AND PARTNER'S EQUITY	377,152	532,600	703,006	895,441	1,165,059

PANCAKE CORNER
8. Projected Statement of Partners Equity
For the Years End 2015-2019

Partner's Equity					
Proponents	2015	2016	2017	2018	2019
Mark Vincent <u>Teodocio</u>	67,801	94,904	126,892	163,429	212,137
Mary Catherine Andrade	67,801	94,904	126,892	163,429	212,137
Jamaica <u>Dela Cruz</u>	67,801	94,904	126,892	163,429	212,137
Marie <u>Chelka</u> San Jose	67,801	94,904	126,892	163,429	212,137
<u>Shaira</u> Cervantes	67,801	94,904	126,892	163,429	212,137
Total	339,007	474,522	634,461	817,147	1,060,685
TOTAL LIABILITIES AND PARTNER'S EQUITY	377,152	532,600	703,006	895,442	1,165,059

F. Financial Analysis

$$A. \text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

The current ratio is a financial ratio that measures whether or not a firm has enough resources to pay its debts over the next 12 months. It compares a firm's current assets to its current liabilities

	2015	2016	2017	2018	2019
Current Assets	340,555	518,846	712,096	927,375	1,219,836
Current Liabilities	38,146	58,078	68,545	78,294	104,373
	8.93	8.93	10.39	11.84	11.69

$$B. \text{Asset Turnover} = \frac{\text{Sales}}{\text{Total Assets}}$$

Asset turnover is a financial ratio that measures the efficiency of a company's use of its assets in generating sales revenue or sales income to the company. Companies with low profit margins tend to have high asset turnover, while those with high profit margins have low asset turnover.

	2015	2016	2017	2018	2019
Sales	1,729,800.00	1,816,290.00	1,907,104.50	1,976,661.23	2,102,582.71
Total Assets	377,152.33	532,599.77	703,005.80	895,441.14	1,165,058.49
	458.65%	341.02%	271.28%	220.75%	180.47%

$$C. Debt to Equity = \frac{Total Liabilities}{Partner's Equity}$$

A measure of a company's financial leverage calculated by dividing its total liabilities by stockholders' equity. It indicates what proportion of equity and debt the company is using to finance its assets.

	2015	2016	2017	2018	2019
Total Liabilities	38,145.70	58,077.94	68,545.19	78,294.31	104,373.50
Partners' Equity	339,006.63	474,521.83	634,460.61	817,147.33	1,060,685.49
	11.25%	12.24%	10.80%	9.58%	9.84%

$$D. Equity to Assets = \frac{Partner's Equity}{Total Assets}$$

The equity-to-assets ratio is one of many financial ratios used to determine the financial health and long-term profitability of a corporation. It is often used by investors to determine whether the corporation's shares are a safe investment. Though important, the equity-to-assets ratio should be used only with other financial ratios to determine a corporation's overall financial health.

	2015	2016	2017	2018	2019
Partners' Equity	339,006.63	474,521.83	634,460.61	817,147.33	1,060,685.49
Total Assets	377,152.33	532,599.77	703,005.80	895,441.14	1,165,058.49
	89.89%	89.10%	90.25%	91.26%	91.04%

$$E. \text{ Gross Profit Margin} = \frac{\text{Gross Profit}}{\text{Sales}}$$

A financial metric used to assess a firm's financial health by revealing the proportion of money left over from revenues after accounting for the cost of goods sold. Gross profit margin serves as the source for paying additional expenses and future savings.

	2015	2016	2017	2018	2019
Gross Profit	966,632.00	1,037,008.80	1,109,451.24	1,159,755.48	1,265,383.59
Sales	1,729,800.00	1,816,290.00	1,907,104.50	1,976,661.23	2,102,582.71
	55.88%	57.09%	58.17%	58.67%	60.18%

$$F. \text{ Net Profit Margin} = \frac{\text{Net Income After Tax}}{\text{Sales}}$$

A ratio of profitability calculated as net income divided by revenues, or net profits divided by sales. It measures how much out of every dollar of sales a company actually keeps in earnings.

	2015	2016	2017	2018	2019
Net Income After Tax	89,006.63	135,515.19	159,938.78	182,686.72	243,538.16
Sales	1,729,800.00	1,816,290.00	1,907,104.50	1,976,661.23	2,102,582.71
	5.15%	7.46%	8.39%	9.24%	11.58%

$$G. \text{ Return to equity} = \frac{\text{Net income after tax}}{\text{Partner's Equity}}$$

The amount of net income returned as a percentage of shareholders equity. Return on equity measures a corporation's profitability by revealing how much profit a company generates with the money shareholders have invested.

	2015	2016	2017	2018	2019
Net Income After Tax	89,006.63	135,515.19	159,938.78	182,686.72	243,538.16
Partners' Equity	339,006.63	474,521.83	634,460.61	817,147.33	1,060,685.49
	26.26%	28.56%	25.21%	22.36%	22.96%

$$H. \text{ Return on Assets} = \frac{\text{Net income after tax}}{\text{Total Asset}}$$

An indicator of how profitable a company is relative to its total assets. ROA gives an idea as to how efficient management is at using its assets to generate earnings. Calculated by dividing a company's annual earnings by its total assets, ROA is displayed as a percentage. Sometimes this is referred to as "return on investment".

	2015	2016	2017	2018	2019
Net Income After Tax	89,006.63	135,515.19	159,938.78	182,686.72	243,538.16
Total Assets	377,152.33	532,599.77	703,005.80	895,441.14	1,165,058.49
	23.60%	25.44%	22.75%	20.40%	20.90%



CHAPTER V:

SOCIO-ECONOMIC STUDY

A. Contribution to the Community

The business will contribute to the community by promoting good nutrition, because the products are healthy and rich with nutrients. The business will also contribute in terms of providing job to the people in the community.

B. Contribution to the Government

The business will contribute to the government (Municipality of Antipolo) in terms of paying the right amount of taxes and also the collected amount on the permits needed for the business operation.

C. Contribution to the Economy

The business is assured to comply with the social and government responsibilities. The Pancake Corner will use resources that are eco-friendly and not dangerous to the environment. The business will use paper boxes, paper bags and paper cups to carry and present our products.

Conclusion:

Based on the study that is conducted by the proponents. We conclude that establishing Pancake Corner will be effective and feasible. With a high demand of pancake and fast growing food industry. Using the marketing strategies and the low prices of our products for our target market can attract them to continuously support our business serving them a variety of unique pancake mixtures and other product offered. Good customer relationship and management will keep them patronizing our products.

APPENDICES

Table 1

Population Growth Rate of Antipolo City	
Year	Population of Antipolo
2010	677,741
2011	720,439
2012	765,826
2013	814,073
2014	850,707

Source:Antipolo City Municipal Hall

Take the population for last year (2014)	850,707
Less the population for first year (2010)	677,741
The difference increase (Decrease)	172,966
172,966 divided by 5 years	34,593.2

Total Projected Target Market	
2015(850,707)+34,593.2	885,300.2
2016(885,300.2)+34,593.2	919,893.4
2017(919,893.4)+34,593.2	954,486.6
2018(954,486.6)+34,593.2	989,079.8
2019(989,079.8)+34,593.2	1,023,673

Table 2

Population per Barangay in Antipolo City. (District I)	
BARANGAY	POPULATION
BagongNayon	56,675
Beverly Hills	1,996
De La Paz	76,920
Mambugan	60,560
Mayamot	61,597
Muntindilaw	12,331
San Isidro	72,093
Sta. Cruz	69,068
TOTAL:	411,254

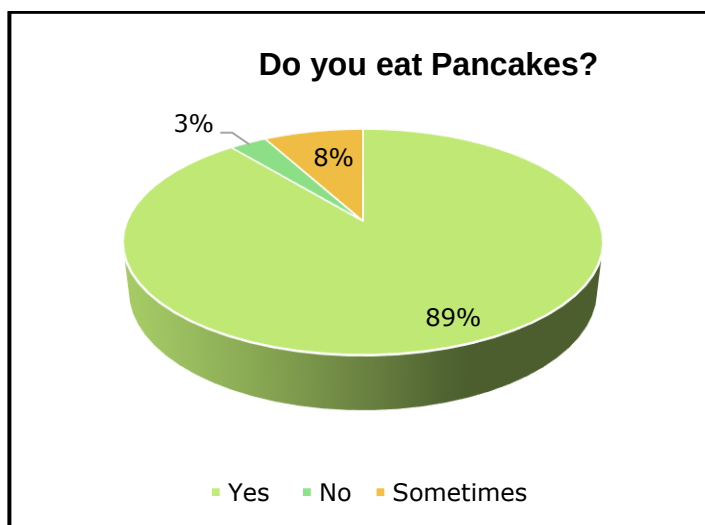
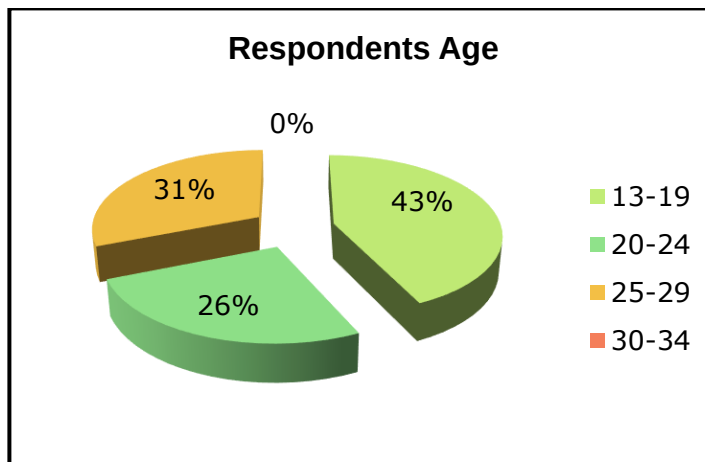
Population per Barangay in Antipolo City (District II)	
BARANGAY	POPULATION
Calawis	5,337
Cupang	105,672
Dalig	57,495
Inarawan	22,626
San Jose	110,737
San Juan	10,654
San Luis	61,229
San Roque	65,701
TOTAL:	439,451

Source: Antipolo City Municipal Hall

Table 3

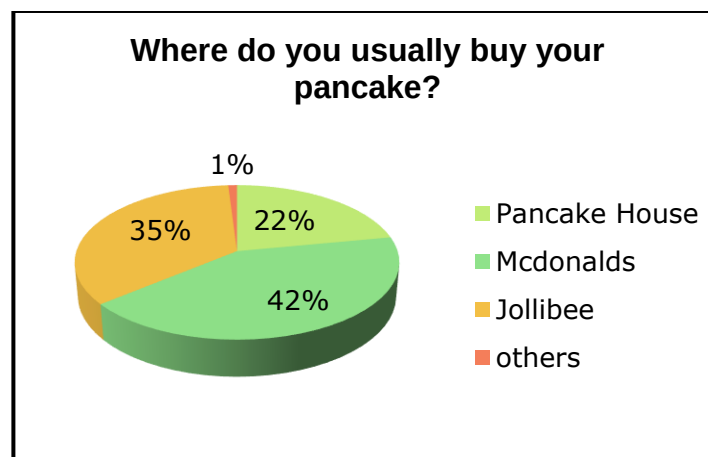
Household Population of San Isidro (Pob.)			
AGES	TOTAL	MALE	FEMALE
TOTAL	72,093	35,938	36,155
0-4	8,057	4,204	3,853
5-9	7,953	4,098	3,855
10-14	8,086	4,141	3,945
15-19	7,637	3,848	3,788
20-24	6,633	3,248	3,384
25-29	6,174	2,985	3,189
30-34	5,749	2,874	2,874
35-39	5,072	2,536	2,537
40-44	4,392	2,135	2,257
45-49	3,579	1,779	1,800
50-54	2,941	1,466	1,475
55-59	2,217	1,093	1,123
60-64	1,524	719	805
65-59	890	394	496
70-74	615	246	369
75-79	333	103	230
80 and over	242	68	174

Source: Antipolo City Municipal Hall



A. SUPPLY

McDonald's, according to the survey got the highest percentage as the choice of the market to buy their pancakes. It has 42% respectively. Followed by Jollibee and Pancake Corner who got a 35% and 22%. Most of the said competitors are around the surrounding area of the business location

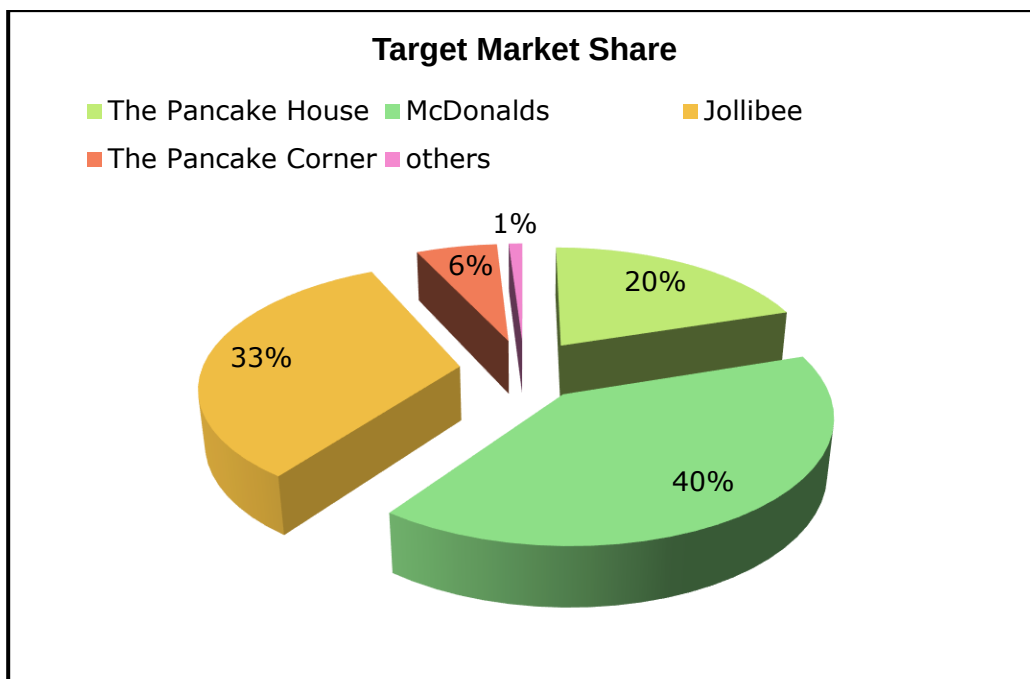


B. Target Market share

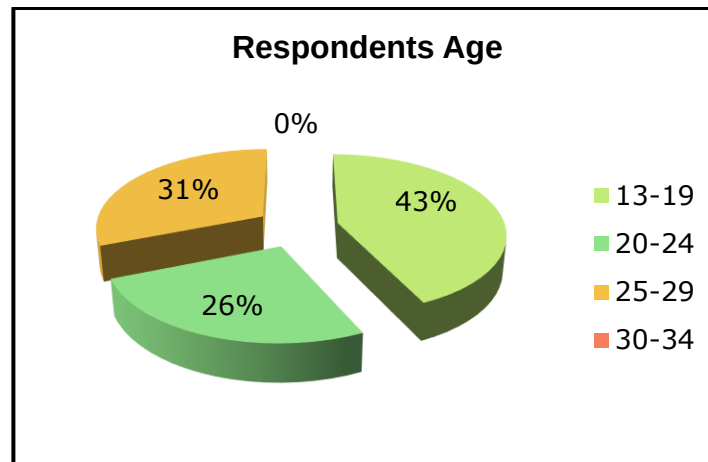
We only have three (3) major competitors namely McDonald's, The Pancake House and Jollibee. These competitors offer different kinds of pancake. The Pancake House have established name in the food industry. Though their prices are high still it got a market share of 22%. Whereas McDonald's also known for their affordable pancakes. The survey revealed that it has a market share of 42% and Jollibee with a market share of 35%

In order to get the target market share of Pancake Corner, the proponents anticipated that 6% of the market will switch to a product that is much lower when it comes to price. According to the survey, 58% of the respondents usually spend 30-50Php per serving of pancake.

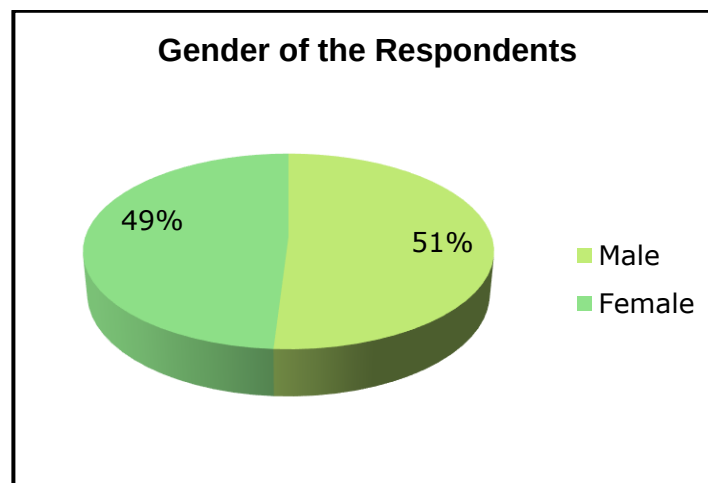
It will have a target market share of 2% from The Pancake House. Highest target market share of 2% are coming from McDonalds and 2% from Jollibee.



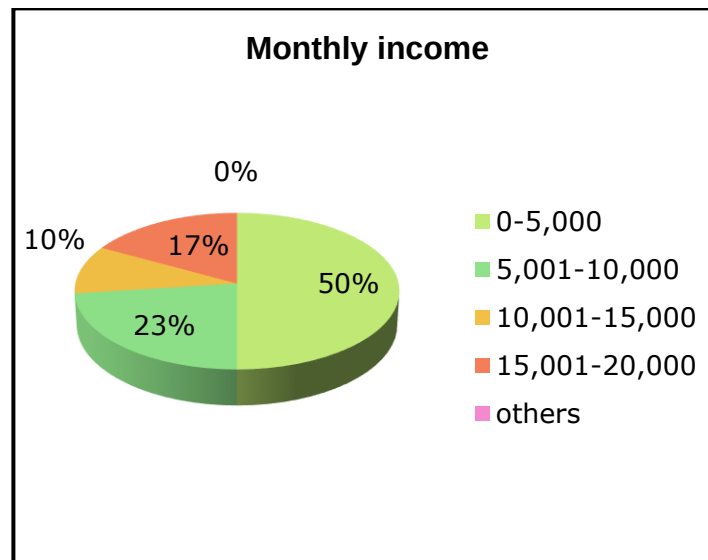
C. MARKET RESEARCH



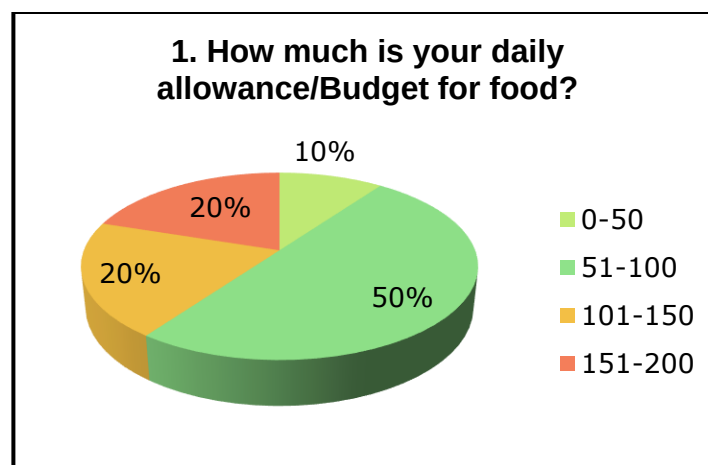
Most of the Respondents are Teenagers. 43% of the respondents ages 13-19 followed by ages 25-29 who got 31% respectively. And 20-24 with a percentage of 26%.



According to the survey 51% of the Respondents are Male, and 49% are female.

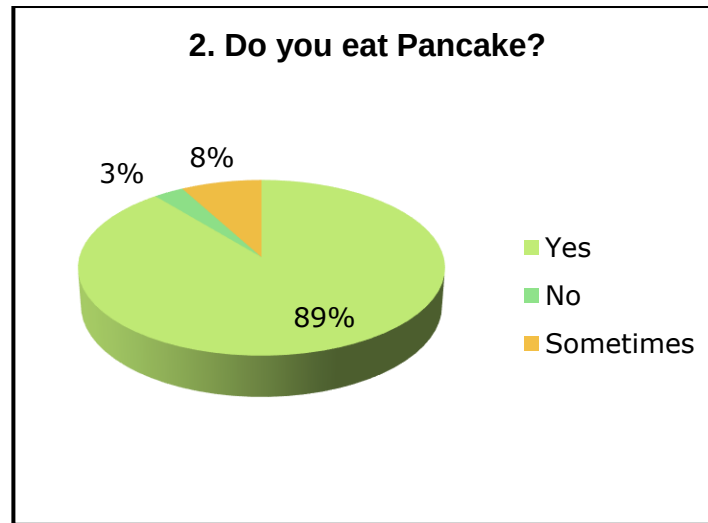


The survey revealed that almost half of the respondents have P5, 000 income every month, and 23% of them who have P5, 000-10, 000. Followed by P15, 000-P20, 000 that got 17% and the least is P10, 000-15,000 which got 10%.

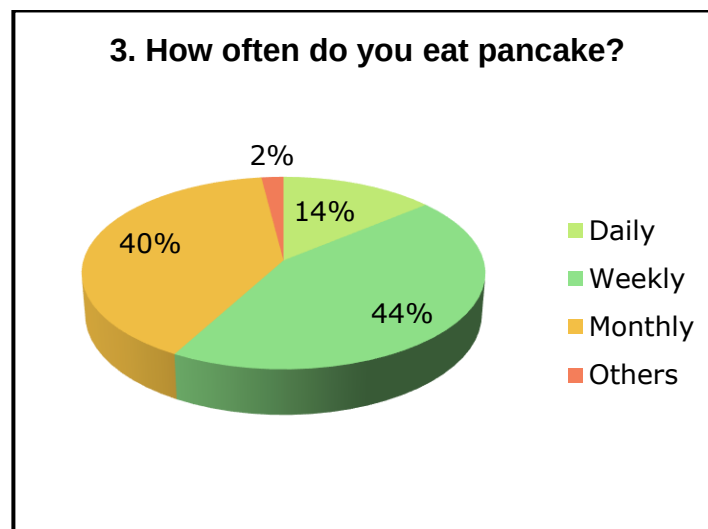


The survey revealed that 50% of the respondents are having P51-P100 as their daily budget for food. And 20% of them are having P101-P150 Followed

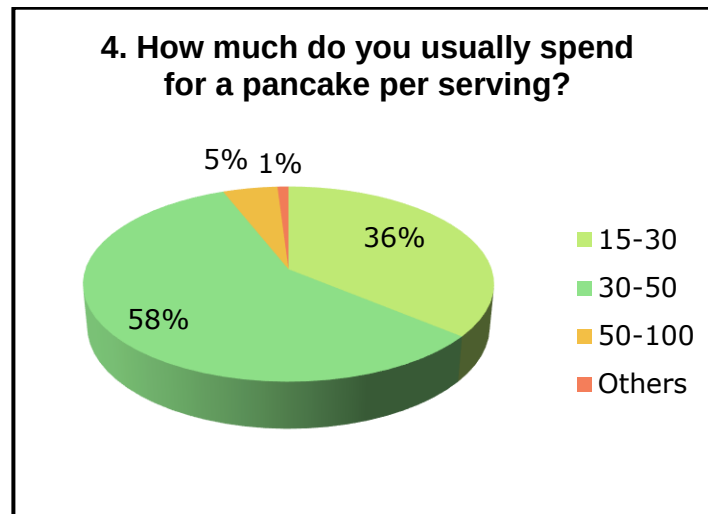
by the fact that 20% of them have a budget of P151-P200. And the least is that 10% of the respondents has a P0-P50 allowance for food in day to day basis.



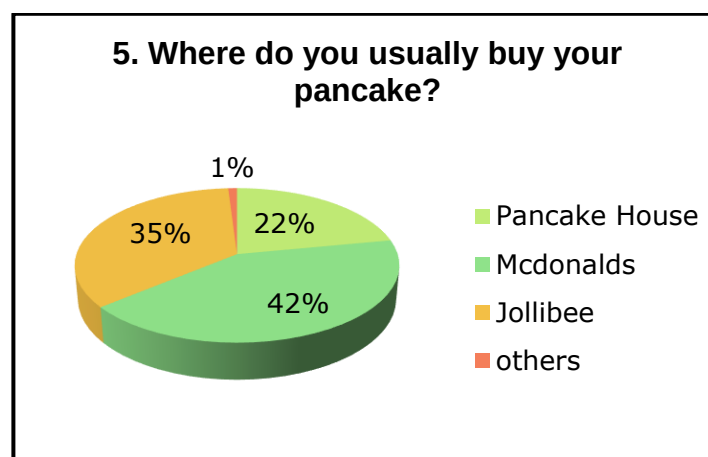
The survey revealed the fact that 89% of our respondents eat pancake, 8% eat pancake sometimes and only 3% do not.



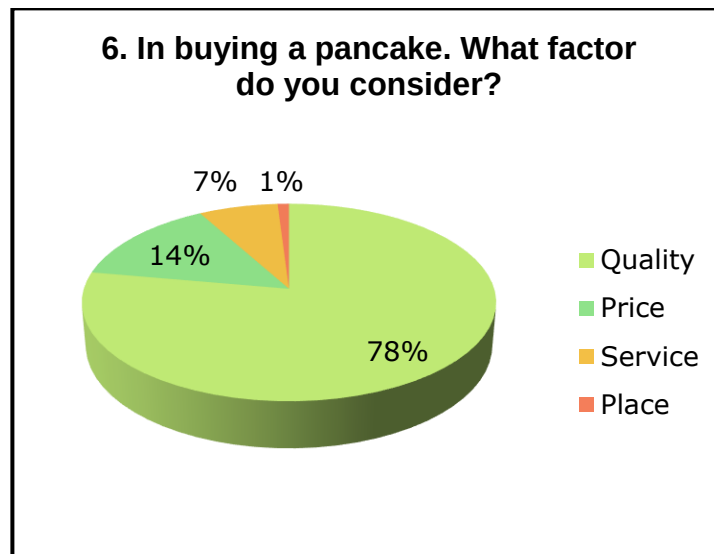
According to the survey, almost 44% of the proponents usually eats pancake weekly.



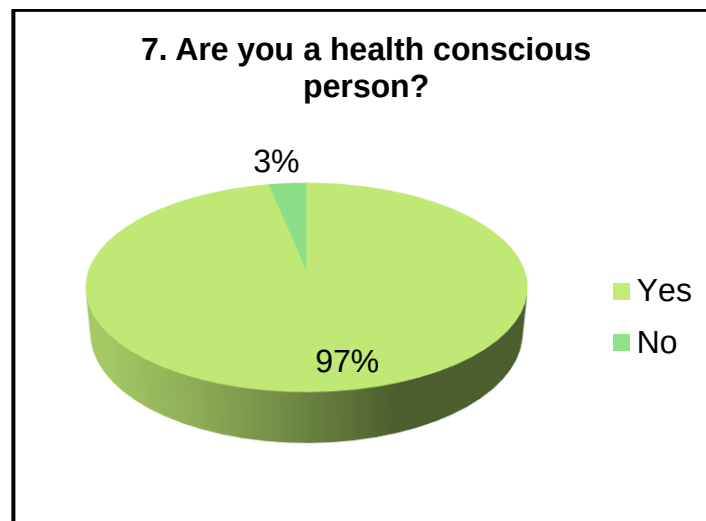
According to the survey, 58% says that they spending Php30.00-50.00 per serving for pancake, 36% answers Php15.00-30.00 and 5% arte spending Php50.00-100.00 per serving. It only means that our consumer can afford our set of prices.



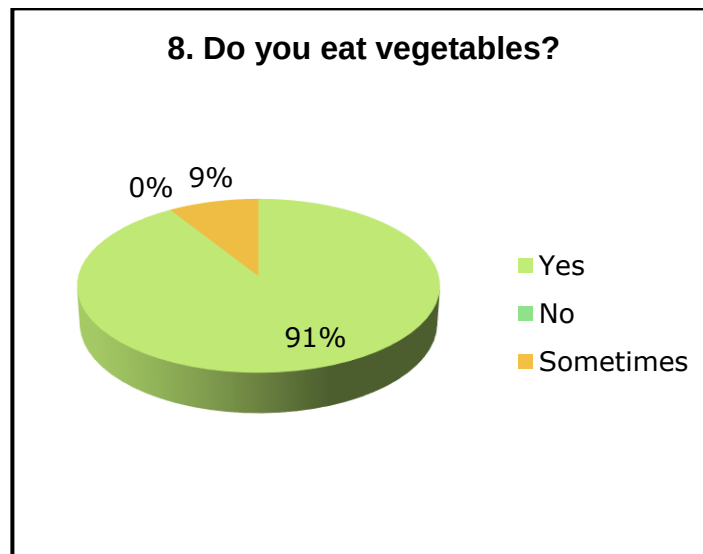
The survey revealed the fact that McDonalds got the highest percentage as the choice of the market to buy their pancake.



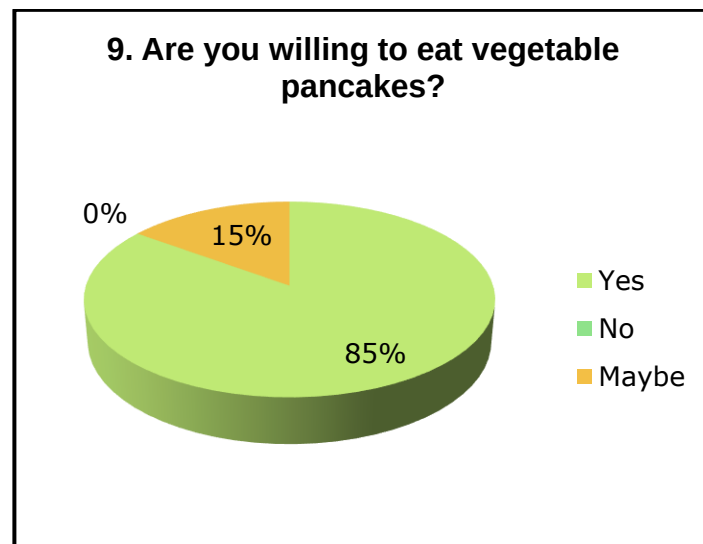
The survey revealed that Quality is the major factor that they consider when buying a pancake.



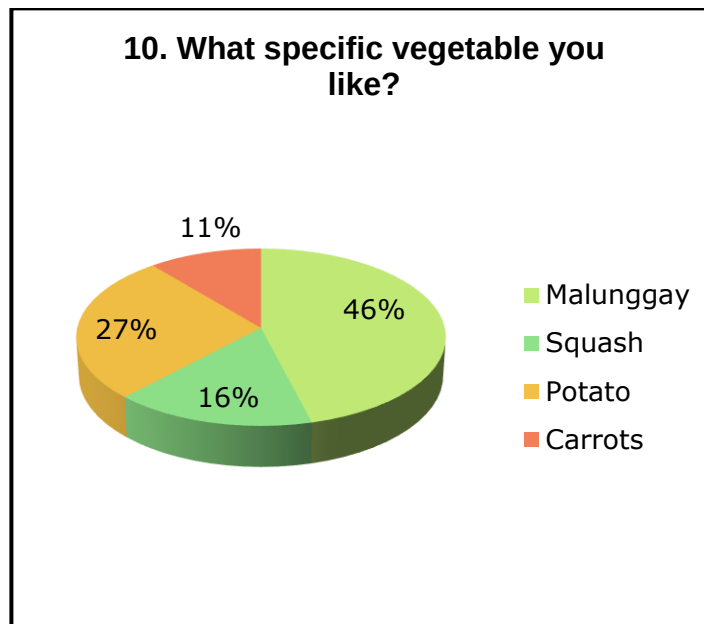
According to the survey 97% said that they are health conscious. Since we're promoting healthy pancake it's a good indication for our business.



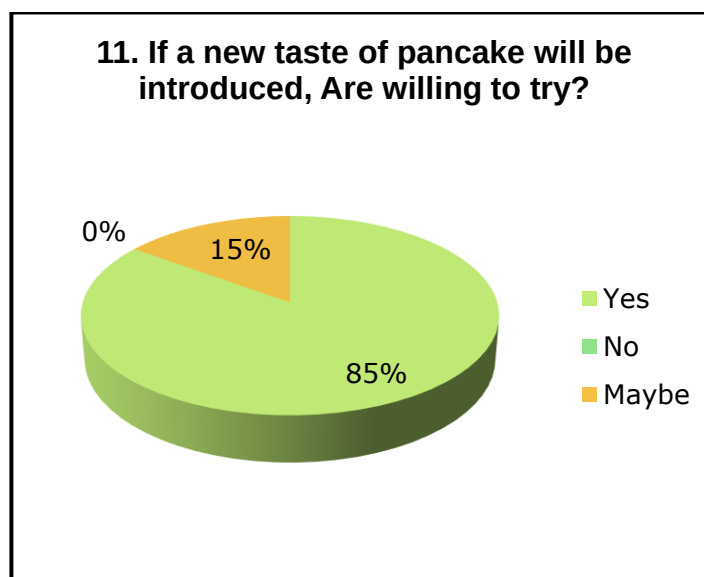
The survey revealed that 91% of our respondents are eating vegetables and only 9% are not eating vegetables.



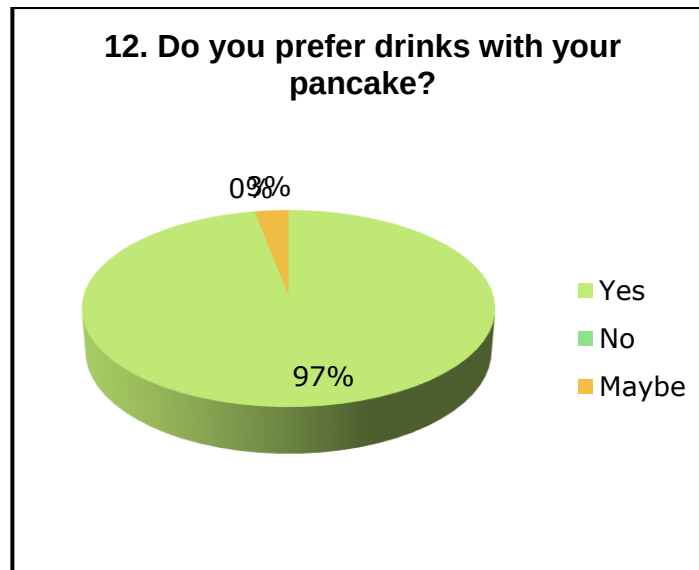
Most of our respondents are willing to eat vegetable pancake it got 85% and only 15% says maybe.



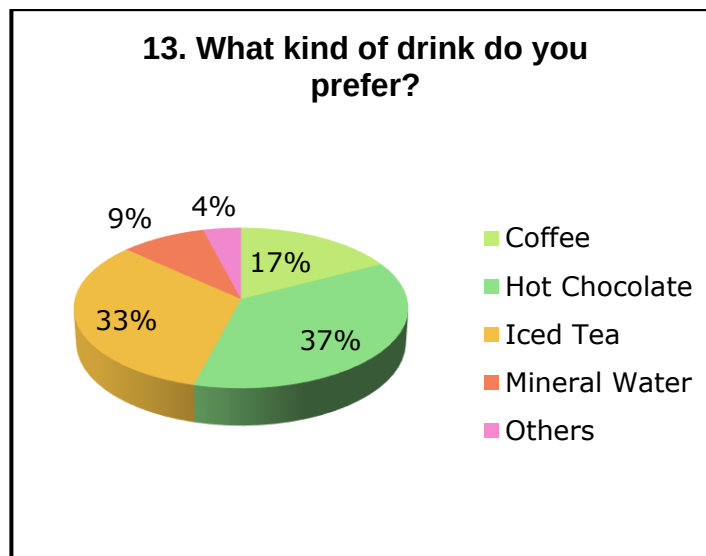
46% says that they eat Malunggay, 16% are eating squash, 27% are eating potato and 11% are eating carrots. It's a good indication for us because Malunggay Pancake is what we are offering to the market as our specialty product.



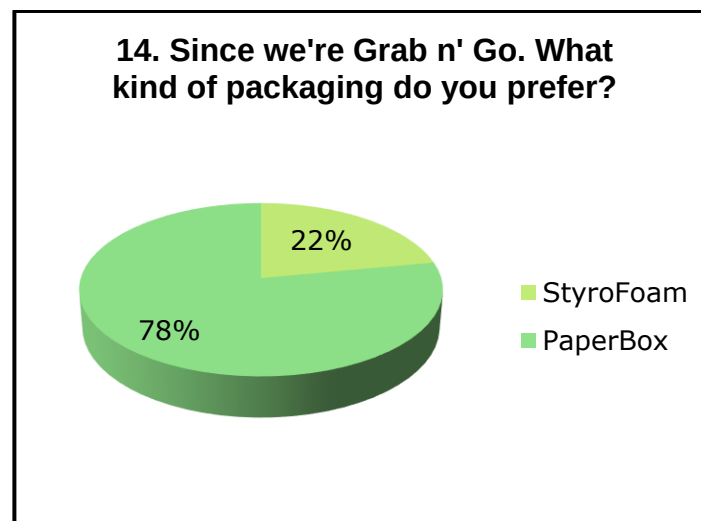
Almost 85% of the respondents are willing to try new taste of pancake, 15% says No



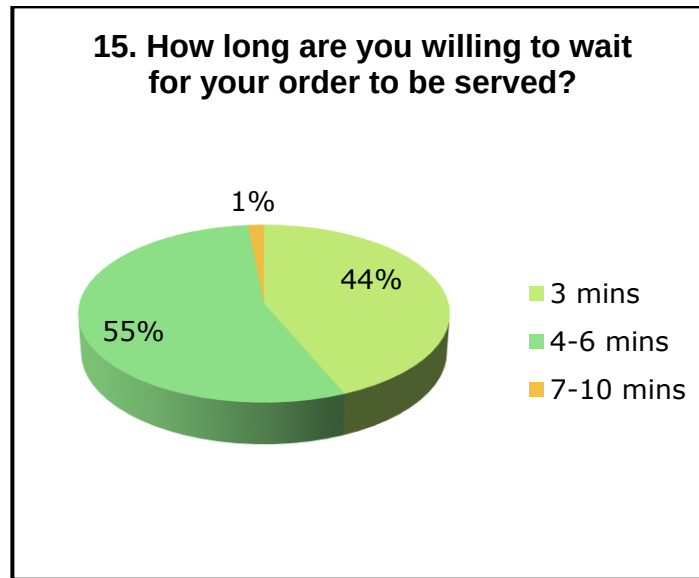
Almost 97% of our respondents prefer drinks along with their pancakes.



The survey revealed that 37% of our respondents says that they want hot chocolate along with their pancake, 33% want iced tea, 17% preferred coffee and 9% mineral water.



The survey revealed the fact that almost 78% of our respondents prefers Paper box for their pancakes and 22% prefers Styrofoam.



According to the survey, almost half of our respondents wanted their pancakes to be served in just 4-6 minutes.

Survey Form

Legal Documents

Curriculum Vitae

Bibliography